

FOREX TRADING NOTES

Fundamentals of the Forex Market

A complete visual guide to **macro fundamentals**: central banks, inflation, bonds, gold, risk sentiment and AI.

1 Market Foundations
2 Economic Reports
3 Monetary Policy & Bonds
4 Central Bank's Mind
5 Expectations vs Headlines
6 Understanding Gold
7 How Smart Traders Use AI

MIND MAPS · CHECKLISTS · DIAGRAMS · CHEAT SHEETS

THINK LIKE A MACRO TRADER

INTRODUCTION

Fundamental vs Technical Analysis



Fundamentals tell us where to look; technicals tell us when to act. Together, they give us the best chance of success.

Fundamental

Helps us build the narrative: the big picture and the direction.

Technical

Helps us find the timing of the trade. It helps us find high-probability entries and manage risk and time.

CHAPTER 1

Forex Market Foundations

Market Participants



Exchange Rate

EUR / **USD** = **1.10**

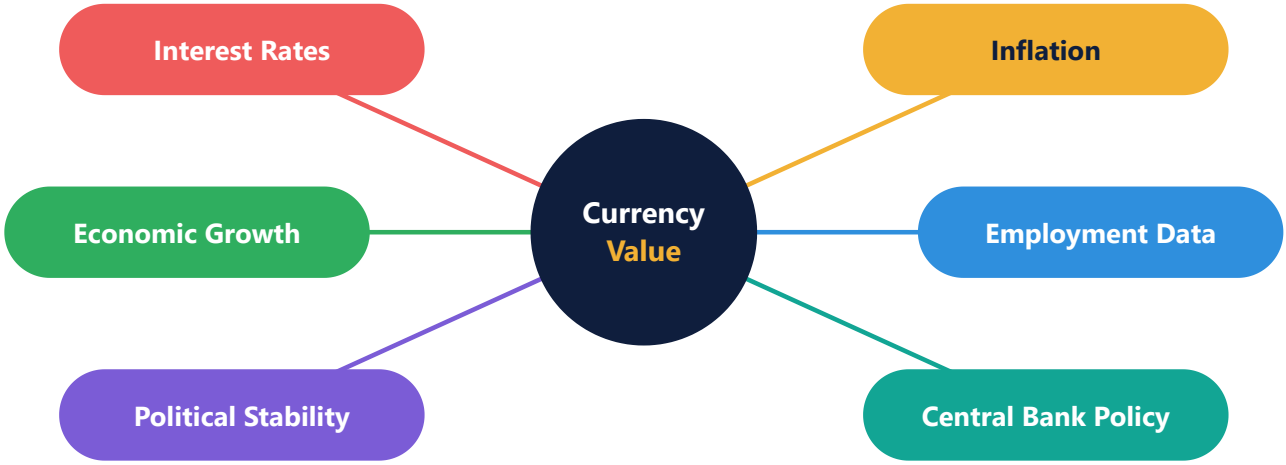
Base currency **Quote currency**

1 EUR = 1.10 USD

USD/JPY	Exchange rate = 150.0 → **1 USD = 150 Yen**
EUR/USD	Trading at 1.10 → **1 EUR = 1.10 USD**

Here the base (EUR) is stronger than the quote (USD).

A Currency's Value Depends On



Major Currency Pairs

- US Dollar
- Strong currency combinations

EUR/USD	Euro: second-largest currency (USD is first)
GBP/USD	British Pound
USD/CHF	Safe-haven currency
USD/JPY	Japanese Yen
AUD/USD	Commodity exporter (iron ore, coal)
NZD/USD	Commodity exporter
USD/CAD	Commodity currency (oil)

These **7 currency pairs** are the backbone of the Forex market.

What Drives Currencies

Inflation | Interest Rates | Economic Growth | Central Bank Policy | Global Events | Market Sentiment | Labour Market

Cross Pairs vs Exotic Pairs

Cross Pairs

EUR/GBP

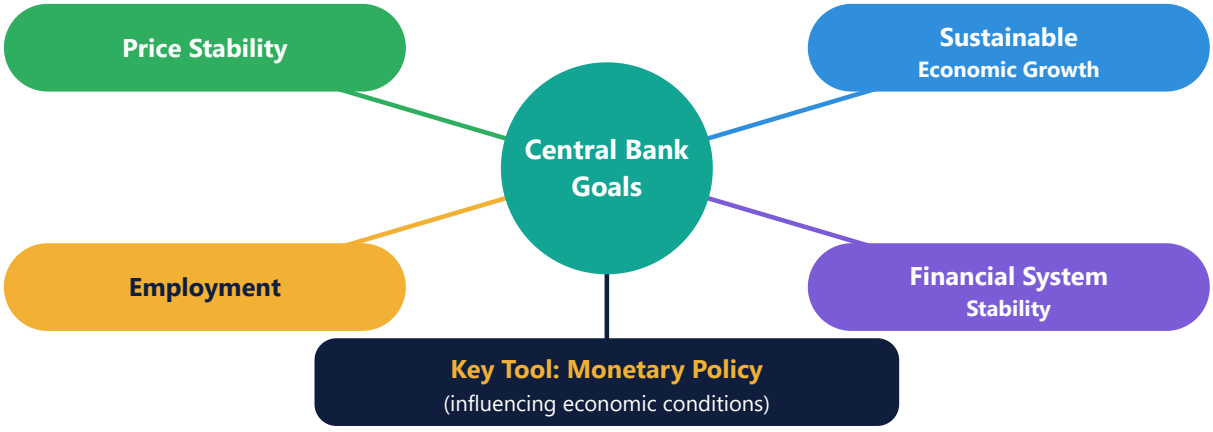
- No US Dollar
- Less liquidity

Exotic Pairs

USD/TRY

- A small economy's currency + a major currency
- More volatile
- Less liquidity

Central Banks



How Central Banks Move Currencies

Central Bank → Interest Rates → Economy → Currency Value

Central bank actions shape expectations, and expectations move the market.

CHAPTER 2

The Economic Reports That Move Markets



Central banks look at the **big picture**, not a single number.

If one economic factor can move **currencies, bonds, stocks and even gold** at the same time,

IT IS INFLATION

Three Inflation Reports

CPI

Consumer Price Index

Measures the inflation rate

- Food
- Housing
- Transportation
- Healthcare

Core CPI

CPI without:

- ~~Food~~
- ~~Energy~~

Food and energy are excluded.

PPI

Producer Price Index

Inflation at the higher, supply-chain level

When CPI Comes In Higher Than Expected



If CPI comes in higher than expected, markets assume the central bank will keep interest rates high for a longer period, and **vice versa**.

Inflation and Interest Rates

Inflation too HIGH ▲

Raise rates ▲

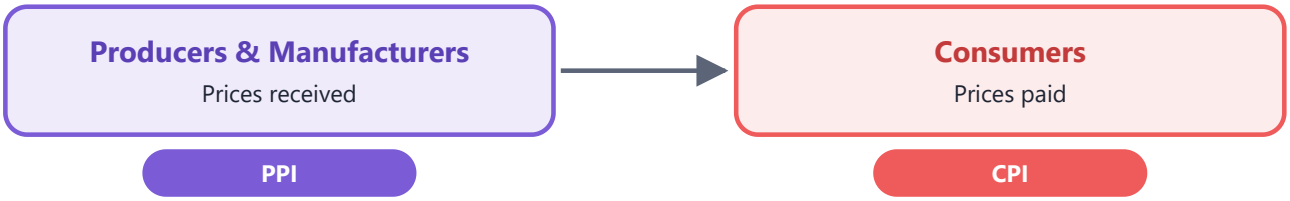
to slow down economic activity

Inflation too LOW ▼

Lower rates ▼

to stimulate growth

Producer Price Index (PPI)



PPI measures the prices received by producers and manufacturers, rather than the prices paid by consumers. It represents inflation at the higher, **supply-chain level**.

Example: US Core CPI, April 2024

Actual	Expected
3.8%	**3.7%**

In April 2024, US Core CPI came in higher than expected (3.8% vs 3.7%), suggesting inflation was still stubborn. As a result, traders expected the Federal Reserve to keep interest rates high for longer, which helped **strengthen the US dollar**.



Inflation Thermometer



The goal is price stability, not zero inflation.

Labour Market Reports



① NFP: Non-Farm Payrolls

Measures the change in the number of people employed in the US, **excluding farm workers**.

Released on the first Friday of each month.

② Unemployment Rate

Measures the % of people actively looking for work but unable to find a job.

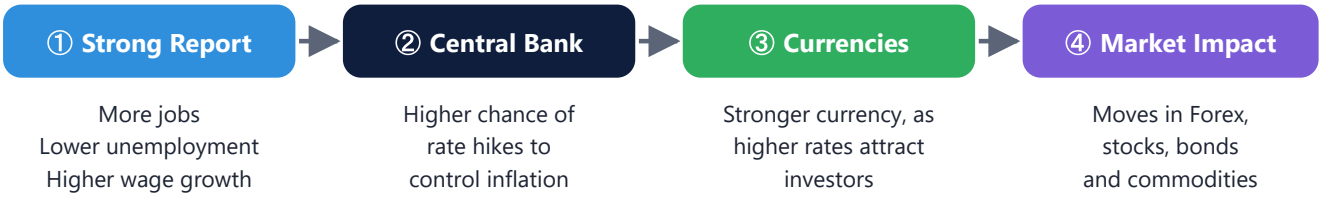
A key indicator of labour market weakness or strength.

③ Average Hourly Earnings

Measures the average change in the hourly earnings of workers.

Rising wages can signal inflation pressures and influence central bank decisions.

How These Reports Impact Markets



More jobs
Lower unemployment
Higher wage growth

Higher chance of rate hikes to control inflation

Stronger currency, as higher rates attract investors

Moves in Forex, stocks, bonds and commodities

Why Traders Pay Close Attention

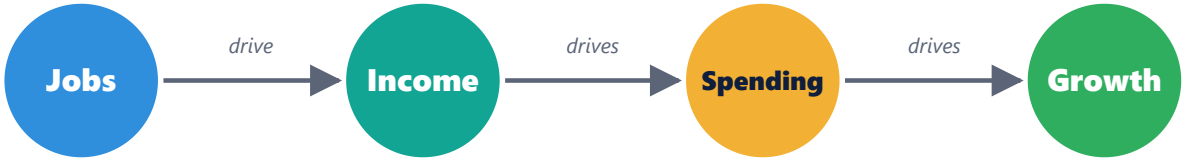
① They signal the health of the economy.

② They influence central bank policy.

③ They move currencies and markets.

④ They create trading opportunities.

The Labour Market Connects It All

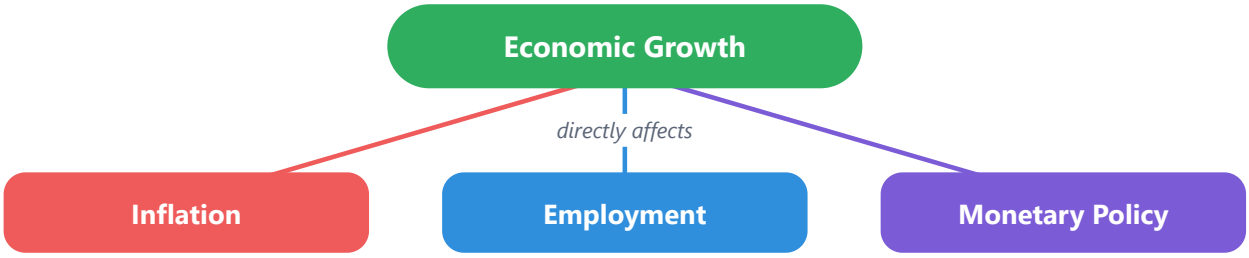


Jobs drive income → income drives spending → spending drives growth. **The labour market connects it all.**

GDP: Gross Domestic Product

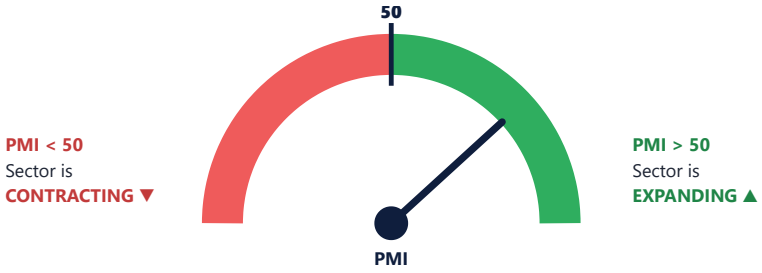
GDP is often called **the economy's report card**.

- GDP measures the **total value of all goods and services** produced within a country during a specific period.
- When GDP growth is strong, it generally signals that **businesses are expanding**.



PMI: Purchasing Managers' Index

Manufacturing PMI measures the **business conditions of the manufacturing sector**.



Services PMI

Same as PMI, but for industries such as:

Banking | Healthcare | Hospitality | Transportation | Technology

Services PMI > 50 ▲ | Services PMI < 50 ▼

ISM: Institute for Supply Management



These reports are **released early each month** and are among the most influential business activity indicators in financial markets.

Stronger than expected	Weaker than expected
Supports USD ▲	**Raises growth concerns ▼**

PMI and ISM reports often provide an early warning of economic turning points, giving valuable clues about where the economy is heading next.

Consumer Confidence



How people feel about the economy and their financial situation

- Measures how **optimistic or pessimistic** people feel about the economy and their financial situation.
- Consumer confidence may not move markets dramatically, but it provides valuable clues about **future spending patterns and economic activity**.

Central Bank Events: The Most Important

*"The words that **move markets**"*

Interest Rate Decisions

Interest rate decisions are among the **most closely watched events** in the financial markets.

Lower interest rate ▼ = USD ▼

Press Conferences

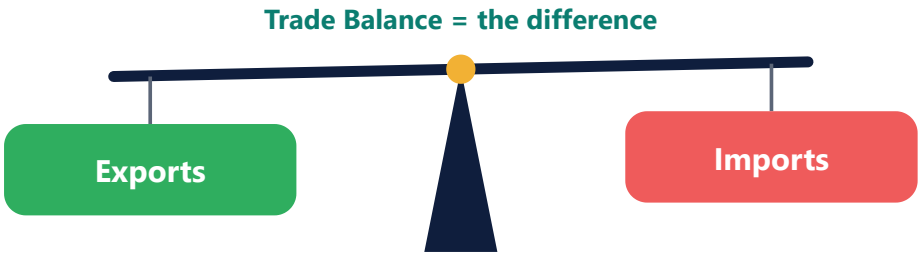
Central bank press conferences.

JOLTS Job Openings

JOLTS = Job Openings and Labor Turnover Survey

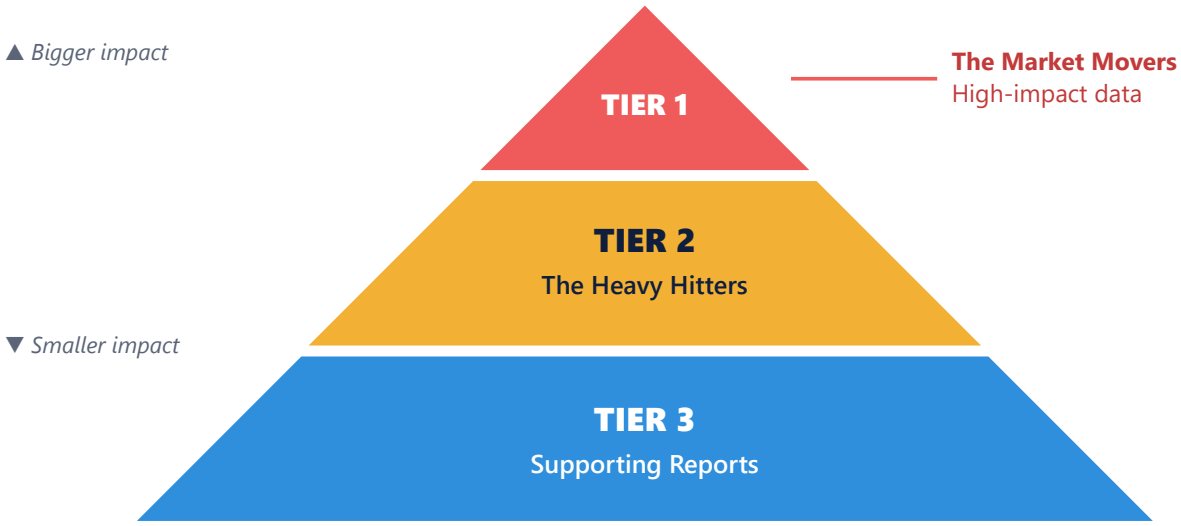
- JOLTS measures the job openings available in the economy. It shows the **demand for workers**.
- If companies are posting a lot of job openings, it usually signals a **strong labour market**.

Trade Balance



- Countries around the world exchange goods and services with each other.
- Trade balance measures the **difference between a country's exports and imports**.

Economic Reports by Market Impact



TIER 1: The Market Movers

High-impact data

① Consumer Price Index (CPI)
② Non-Farm Payrolls (NFP)
③ Interest Rate Decisions
④ Central Bank Press Conferences

These events can create **significant volatility** and often shape market direction for **days or even weeks**.

TIER 2: The Heavy Hitters

① Personal Consumption Expenditures (PCE)
② Retail Sales
③ Manufacturing PMI
④ Services PMI
⑤ ISM Reports
⑥ Average Hourly Earnings

These releases help investors understand **inflation trends, consumer spending, business activity** and the **overall strength of the economy**.

TIER 3: Supporting Reports

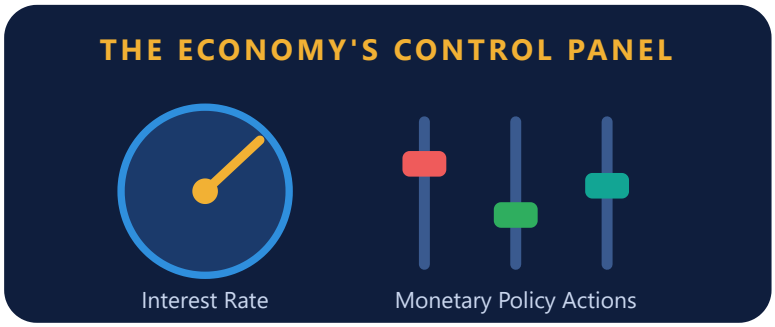
① JOLTS Job Openings
② Consumer Confidence
③ Trade Balance
④ GDP Revisions

These reports provide **valuable context** but usually have a **smaller impact** on market expectations.

CHAPTER 3

Monetary Policy Fundamentals

The collection of actions a central bank takes to **influence economic activity** is called **monetary policy**.



Think of monetary policy as **the economy's control panel**.

Inflation rising ▲ → **Central bank** → **Raise interest rates ▲**

If inflation is rising, the central bank can decide to **raise interest rates**, and **vice versa**.

The Goals of Monetary Policy Are Simple

① Keep **inflation** under control

② Support sustainable **economic growth**

③ Maintain a healthy **labour market**

④ Promote **financial stability**

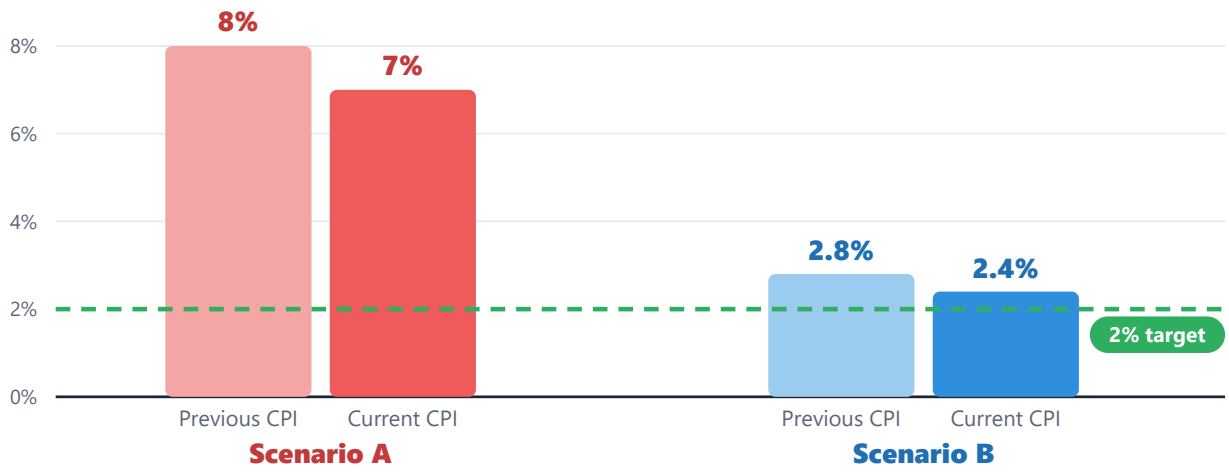


The USD is involved in **nearly 90% of all forex transactions**, making it the world's **dominant reserve and trading currency**.



In most developed economies, the **inflation target is around 2% per year**.

Scenario A vs Scenario B



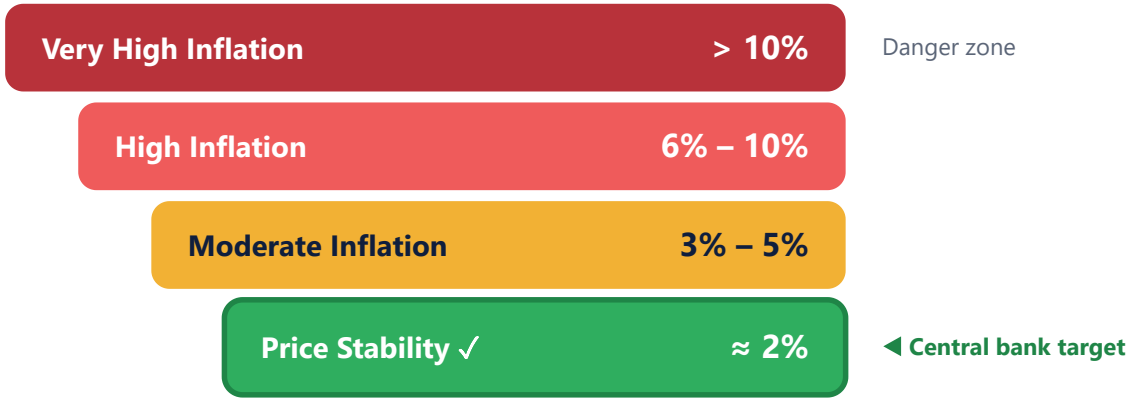
In **Scenario B**, inflation is also falling, but this time it is **already close to the target**. Policymakers see this as progress: the economy is gradually moving towards **price stability**, which is the central bank's primary goal.

COMMON BEGINNER MISTAKE

Ignoring **bond yields** while trading currencies. It's like trying to *forecast the weather without looking at the sky*.

The Inflation Target

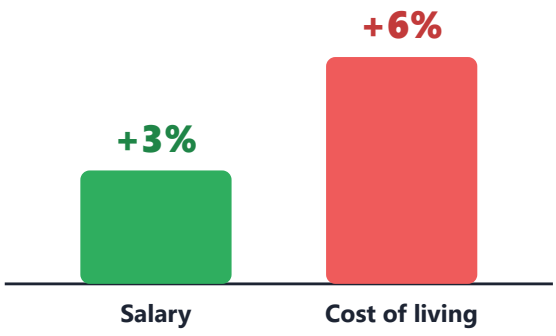
The goal is **not zero inflation**. The goal is **price stability around 2%**.



Note: true **hyperinflation** is usually defined as prices rising 50% or more per month.

What Is Inflation?

- Inflation is the **rate at which prices rise** over time.
- The real question is not whether prices are rising; it is **how fast** they are rising.
- Problems start when **inflation rises faster than incomes**.



Example: your **salary rises 3%** while the **cost of living rises 6%** every year.

That is why inflation is often called the
"invisible tax"

Example: US Inflation and the Fed

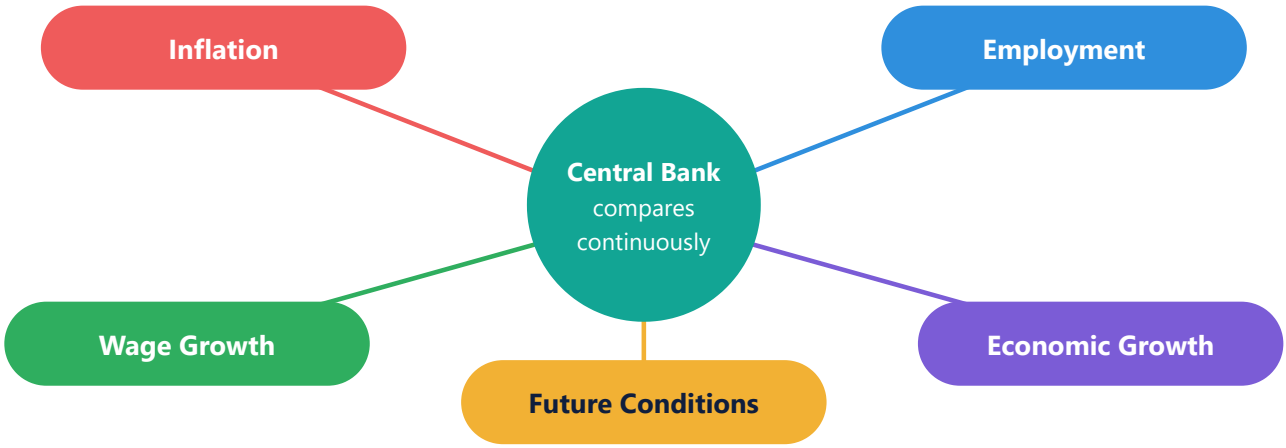


When US inflation reached its highest levels in decades, the central bank became concerned that inflation had moved far above its target. So the **Federal Reserve raised interest rates aggressively**. The effect was seen on:

Currencies | Bonds | Stocks | Gold

Almost every major financial market

How the Central Bank Decides



The central bank continuously compares inflation, employment, wage growth, economic growth and future conditions, and then **decides how to respond**.

If **inflation** is the **heart** of monetary policy,
the **labour market** is its **second most important part**.

Labour Market and Inflation

A **strong labour market** can push **inflation up**, and vice versa.

Employment | Unemployment | Wage Growth

How many people are searching for work?



A strong **Non-Farm Payrolls (NFP)** report does **not always** mean a stronger currency.

Professional Trader's Checklist

PROFESSIONAL TRADERS ASK ADDITIONAL QUESTIONS

- ☐ ① Are **wages** rising along with it?
- ☐ ② Is **unemployment** falling along with it?
- ☐ ③ In which direction is **inflation** moving?

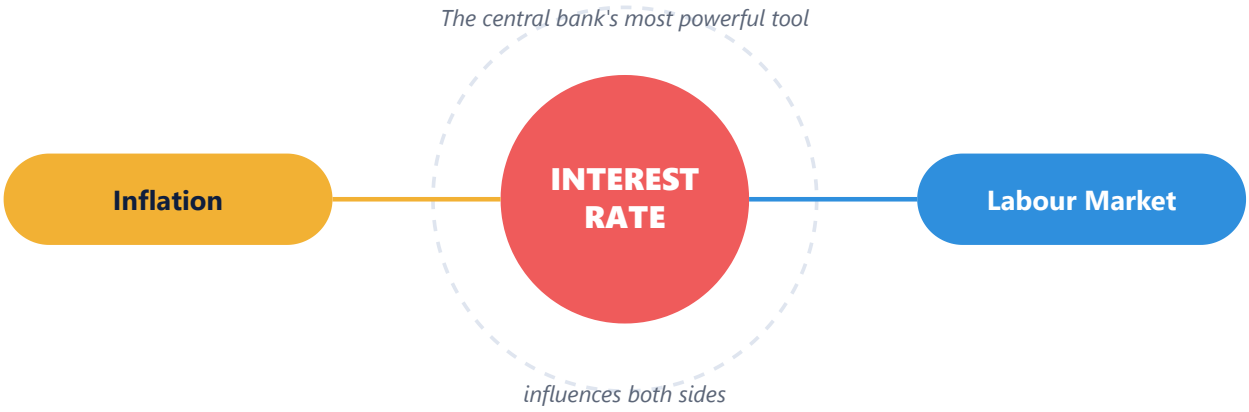
☐ **Most important:** how will the **central bank interpret** this information?

Just like inflation, labour market data should **never be analysed in isolation**.

Think Like a Macro Trader

✗ Don't ask	✓ Ask
Is inflation high?	Is inflation **higher or lower than the market expected**?

Interest Rates



- The central bank has a very powerful tool to influence both **inflation** and the **labour market**: the **interest rate**.
- Interest rates sit at the **centre of modern monetary policy**.

The interest rate is **the cost of borrowing money**.

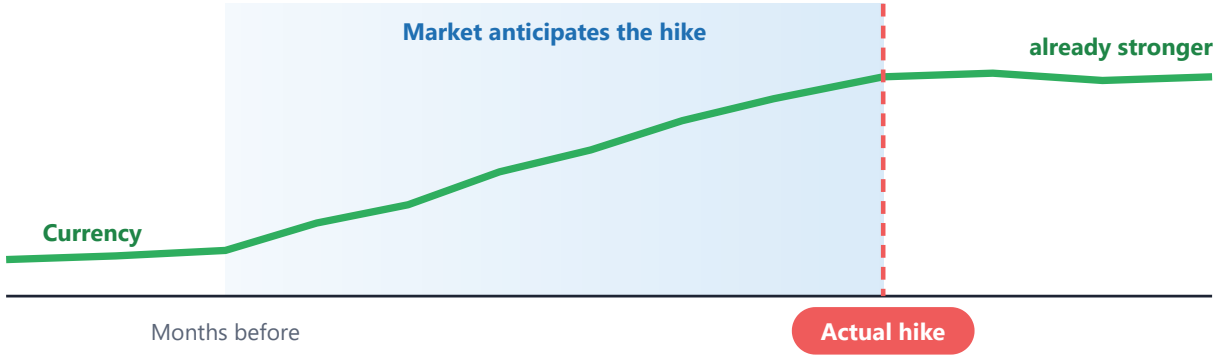
The Primary Policy Tool

Central banks consider interest rates their **primary policy tool**. By changing interest rates, they can influence people's:

Spending | Saving | Borrowing | Investing

The Market Looks at Future Rates

The market doesn't focus only on **current** interest rates. It focuses on **future** interest rates.



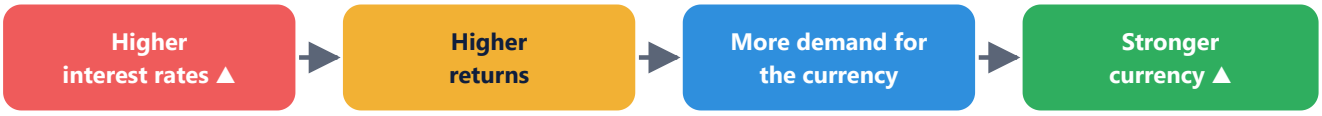
- A currency often starts **strengthening months before** the actual rate hikes happen.
- Similarly, a currency can **weaken** even while interest rates are **still at a high level**.
- This is because the market continuously tries to **anticipate central bank decisions**. Interest rates are important to understand, but understanding **how markets anticipate future interest rates** is even more important.

Expectations often move markets **well before** central banks take any actual action.

Rate Hikes and Rate Cuts

Rate hike: when the central bank feels inflation is becoming a problem, it often **raises interest rates**. This is called a rate hike.

In currency markets, rate hikes are often considered **positive for the currency**.



RATE HIKE ▲

Central bank **raises** interest rates.
Often **positive** for the currency.

RATE CUT ▼

The **opposite** of a rate hike.

★ KEY TAKEAWAYS

1. Rate cuts are used to support **growth and employment**.
2. Lower rates encourage **spending and investment**.
3. But for currencies, lower rates can **reduce investor interest** and **weaken the currency**.
4. Monetary policy may seem simple, but its **impact on currencies is powerful**.

WHERE THE REAL EDGE BEGINS

The market reacts to what the central bank **signals about the future**, not just today's decision. Understanding a decision that has already been made matters, but understanding **what the market expects, and what it may expect next**, is where the real edge begins.

Myth vs Reality

✗ MYTH

~~Gold always falls when interest rates rise.~~

✓ REALITY

Gold often faces pressure from higher rates, but these can easily **outweigh that effect**:

- Inflation
- Central bank buying
- Geopolitical tensions
- Market sentiment

Hawkish Central Bank



A hawkish central bank's **primary focus is inflation**. To control inflation, it may **raise interest rates** or **signal that rates will stay high for a long time**. This approach is called a **hawkish stance**.

*A hawkish stance means: "We will do **what it takes** to control inflation, even if it slows the economy."*

High inflation today → **Bigger problems tomorrow**

★ KEY TAKEAWAYS: HAWKISH

① **Hawkish** = inflation is the bigger concern → rates likely to **rise or stay high ▲**

② Hawkish policy usually **supports and strengthens the currency**.

③ It's all about **which problem the central bank is trying to solve right now**.

Dovish Central Bank

Policymakers focus on **supporting businesses**, **protecting jobs** and **preventing the economy from becoming too weak**. To achieve this, they may **reduce interest rates** or **signal that monetary policy will be more supportive** in the future. This approach is called a **dovish stance**.

Hawk vs Dove

HAWK	DOVE
Worries about	Worries about
Inflation	**Economic Growth**
Interest rates ▲	**Interest rates ▼**

Neither approach is **permanently right or wrong**. Which stance is correct depends entirely on the **economic conditions at the time**.

Hawkish or Dovish Shift



What really matters is whether the central bank is becoming **more hawkish or more dovish than before**.

To move markets, a central bank **doesn't always need to change interest rates**. Often, just a **shift in tone** from hawkish to dovish is enough to change expectations and create **sharp moves in currencies**.

★★ MACRO TRADING INSIGHT

A strong trend usually begins **long before** the first interest rate hike or rate cut. **Markets price the future, not the present.**

Hawkish vs Dovish at a Glance

HAWKISH	DOVISH
Focus: fight inflation	**Focus:** support growth
Higher interest rates ▲	Lower interest rates ▼
Slower growth	Stronger growth
Stronger currency ▲	**Weaker currency ▼**
Lower inflation	Higher inflation risk

Quantitative Easing (QE)

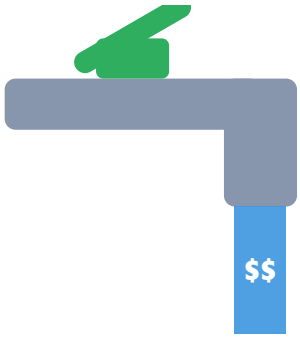


- In QE, the central bank **buys financial assets** from the market, especially **government bonds**.
- Its objective is to **inject liquidity** into the financial system, **encourage lending** and **support economic activity**.
- When a central bank uses QE, it is usually trying to **support the economy** and make **financial conditions easier**.

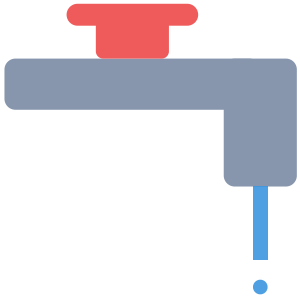
Lending: banks and financial institutions providing loans and credit to businesses and individuals at attractive rates.

Quantitative Tightening (QT)

QT is the **opposite of QE**. QE **adds $$** to the financial system; QT **removes $$**.



QE
Tap opened wider
→ more $$ flows



QT
Tap gradually
closed → less $$

Forward Guidance

Forward guidance means the central bank **communicating its future intentions** to the market.

Central bank speeches | Press conferences | Policy statements | ★ Important

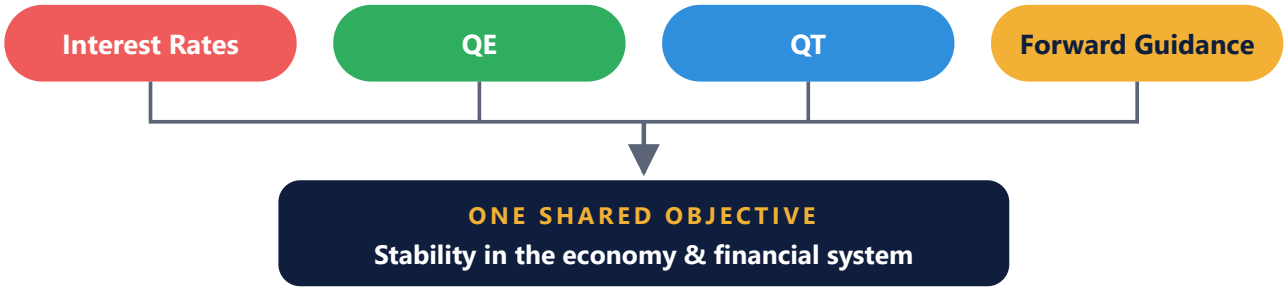
Central Banks Influence Markets in Two Ways

① ACTIONS

Such as **raising or lowering interest rates**.

② COMMUNICATION

Telling the market about their **future plans and intentions**.



Interest rates, QE, QT and forward guidance are **different tools**, but they all share **one objective**: to maintain stability in the economy and the financial system.



Central banks have become some of the **world's largest gold buyers**, purchasing **record amounts** in recent years to **diversify their reserves**.

COMMON BEGINNER MISTAKE

Many traders **react to the first candle** after a news release. Professional traders **wait to understand the market narrative** before making a decision.

CHAPTER 3

The Bond Market: The Smart Money's Playground

Some of the **biggest moves** in financial markets **start in the bond market**, and other markets often find out later.

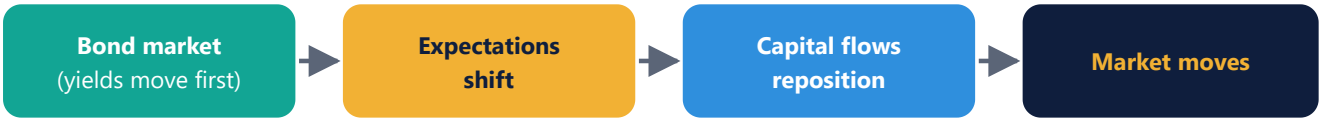
Professional traders ask:

Why are prices moving? → **Yields**

The chain:

Policy → Liquidity → Growth

How Bonds Lead the Market



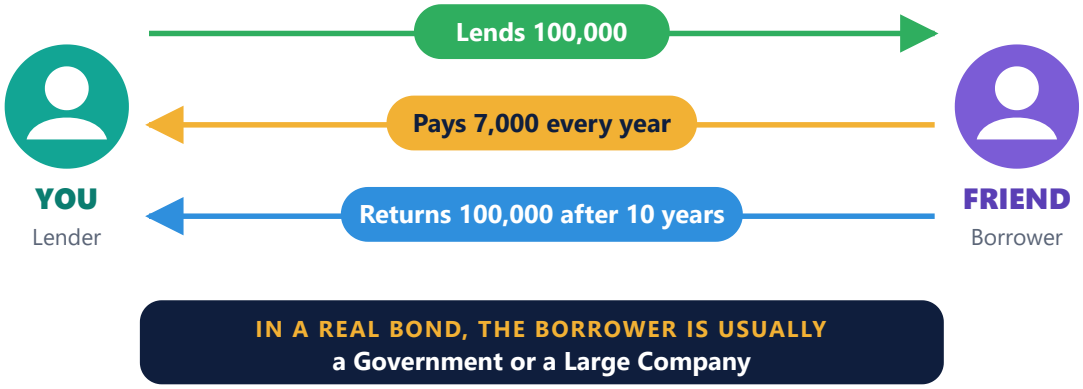
Follow the smart money.

Follow the bonds.

THINK LIKE A MACRO TRADER

Whenever you read a headline, ask: **where is global money likely to flow next?** Following **capital flows** is often more useful than following opinions.

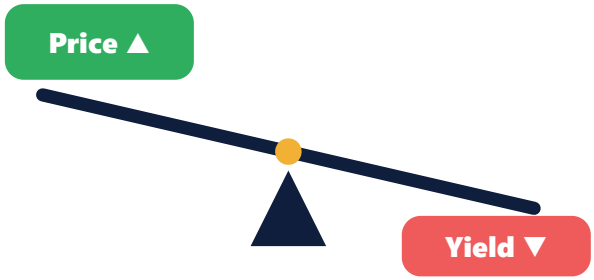
What Is a Bond? (Bond = a loan)



- Suppose you have **100,000** in your account. One day a friend comes to you and asks to borrow money. In return, they promise to pay you **7,000 every year** and to **return the full 100,000 after 10 years**.
- In effect, **you are lending** them money and **they are borrowing** from you.
- A bond works the same way. The only difference is that instead of lending to a friend, you are usually lending to a **government or a large company**.

Yield

A bond is a loan, and the **yield is the return** you get from that loan.



Bond price went **up**, but yield **fell**.

Bond price **fell**, but yield **rose**.

Bond prices and yields **always move in opposite directions**.

Price rises ▲

→ Yield falls ▼
→ **Strong demand**

Price falls ▼

→ Yield rises ▲
→ **Selling pressure**

In many ways, yields are a **window into the market's future expectations**.

Yields Work Like a Magnet



In simple words, yields decide **which direction capital from around the world will flow**. In many ways, yields work like a **magnet**: they help us understand where large amounts of money may move in the future.

*"Dollar is **rising** because yields are **rising**."*

*"Dollar is **under pressure** because yields are **falling**."*

The Most Followed Yield Chart: US10Y

US10Y

The most closely followed yield chart is the **US 10-year Treasury yield**, usually shown as **US10Y**. ★★★★

US Treasury Yields

US2Y → 2-year Treasury bond

US10Y → 10-year Treasury bond

US30Y → 30-year Treasury bond

Myth vs Reality

✗ MYTH

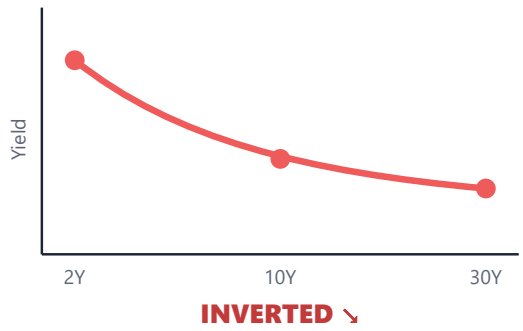
~~One indicator is enough to predict the market.~~

✓ REALITY

Markets are driven by **multiple macroeconomic forces working together**.

The Yield Curve





Normal Yield Curve

Under normal circumstances, the yield curve **slopes upward**. Short-term yields are **lower** and long-term yields are **higher**.

Inverted Yield Curve

Sometimes something **unusual** happens in the market, and **short-term yields rise above long-term yields**.

The yield curve is really a **reflection of the bond market's future expectations**.

What the Curve Shape Tells Us

It shows what investors think about future **growth, inflation and interest rates**.

Steep ↗ upward-sloping

Investors often expect **stronger growth** and **higher interest rates**.

Flattening →

Investors may be becoming **more cautious**.

Inverted ↘

May be signalling **future economic problems** or a **recession**.

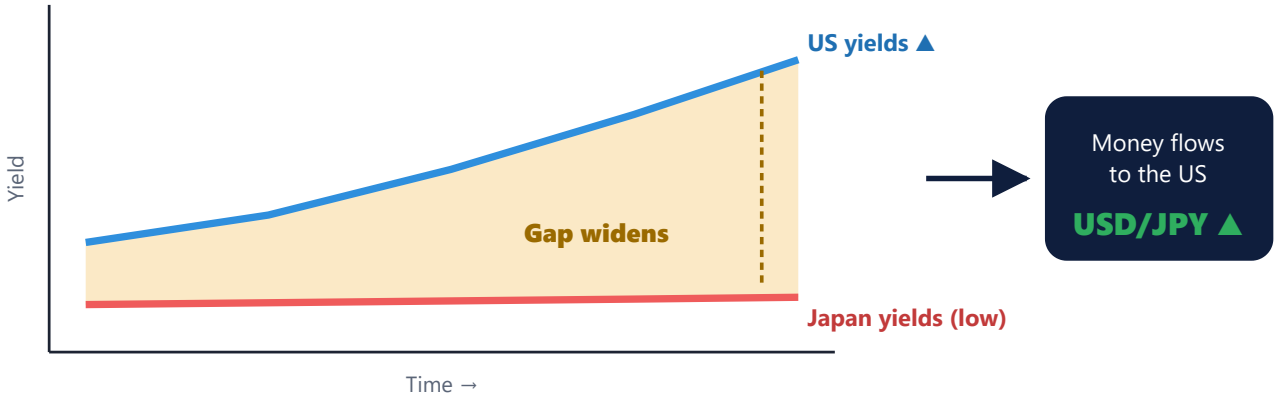
The bond market doesn't just react to the **present**; it tries to **predict the future**. That's why macro traders monitor it so closely.

Yields often signal **which direction money may flow** in the future.

When **yields and currencies start telling the same story**, professional traders pay close attention to that move.

Yield Differential

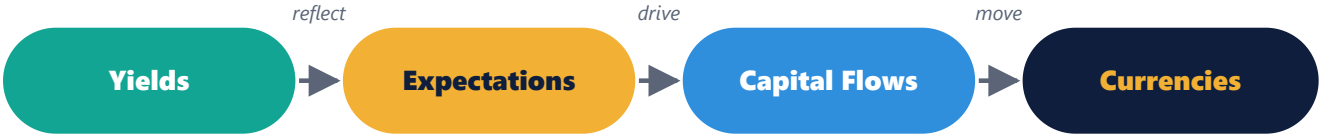
Currencies always trade **in pairs**. That's why professional traders usually don't look at just one country's yield; they **compare the difference between the yields of two countries**. This difference is called the **yield differential**.



Example: suppose US yields are rising while Japanese yields stay low. The yield gap between the two countries **widens**. US assets become relatively more attractive, money often starts flowing towards the US, and this flow often **supports USD/JPY** and can push the pair higher.

The same concept applies to **other currencies**.

The Big Idea



Yields reflect expectations. Expectations drive capital flows. Capital flows move currencies.

Clues appear early: sometimes the bond market shows the story **long before the headlines do**.

★ QUICK BOND MARKET CHEAT SHEET

① **Rising yields ▲**	Market expects **stronger economic growth** or **higher rates**
② **Falling yields ▼**	Market expects **slower economic growth** or **future rate cuts**
③ **Rising US yields vs foreign yields**	Often **supports the US dollar ▲**
④ **Falling US yields vs foreign yields**	The **US dollar can weaken ▼**
⑤ **Inverted yield curve ↘**	Market is **concerned about future growth**; may signal a possible **slowdown or recession**

The bond market doesn't tell you **what is happening right now**; it tries to tell you **what investors think will happen next**. That's why it is considered so powerful and valuable in the world of macro trading.

★★★ MACRO TRADING INSIGHT

The biggest market moves **rarely happen because of one event**. They happen when **multiple macroeconomic narratives begin pointing in the same direction**.

Watch the US2Y

US2Y

For currency traders, the US2Y is **one of the most important charts to monitor**. Rising 2-year yields usually signal expectations of **tighter monetary policy** and often **support the USD ▲**.

US2Y rising ▲

Expectations of **tighter monetary policy** → often **supports the USD**

US2Y falling ▼

Expectations of **future rate cuts** → can **weaken the USD**

In many situations, the US2Y isn't reacting to **what the Federal Reserve did**; it's reacting to **what the market thinks the Federal Reserve will do next**.

CHAPTER 3

Risk Sentiment

Risk sentiment means investors' **collective attitude towards risk**: at any given time, are investors choosing to **take risk for higher returns**, or to **protect their capital**?



RISK-ON

Investors are **optimistic about the future**. Economic growth looks healthy, financial conditions are stable, and market participants are comfortable taking **additional risk** in search of higher returns.

= Confidence = Investors seek returns

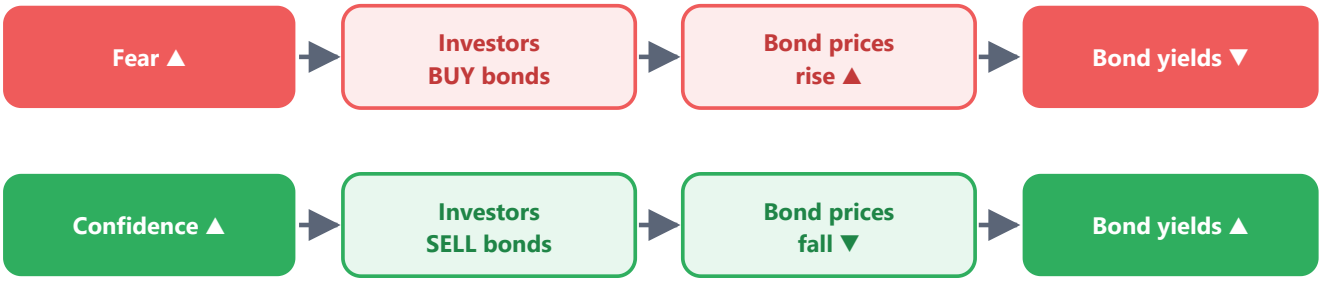
RISK-OFF

= Fear = Investors seek safety

- Recession fears
- Geopolitical tensions
- Financial crisis / banking stress
- Wars
- Unexpected economic shocks

In risk-off situations, **protecting capital becomes more important than generating returns**. Investors reduce exposure to risky assets and shift money into assets considered **safe**.

Risk Sentiment and Bonds



Sometimes markets move **not because of economic fundamentals**, but because investors **suddenly change their perception of risk**.

What a Macro Trader Should Watch

To identify a **risk-on or risk-off** environment, keep an eye on:

① **Global stock indices** (S&P 500, Nasdaq, DAX, Nikkei)

② **US Treasury yields**

③ **Gold**

④ **US Dollar**

⑤ **Japanese Yen**

⑥ **Geopolitical developments**

⑦ **Financial stress** within the banking system

These markets often provide **early clues** about changes in investor sentiment.

★ KEY TAKEAWAYS

① Risk-on and risk-off are **not economic indicators**; they are a **reflection of investor psychology**.

② In many situations, risk sentiment becomes **the dominant force driving markets**.

When Uncertainty Rises

Often WEAKEN ▼

- **Stocks**
- **AUD** and **NZD**
- **Treasury yields** (often decline)

Often STRENGTHEN ▲

- **US Dollar**
- **Japanese Yen**
- **Swiss Franc**
- **Gold**
- Demand for **US Treasury bonds** rises

★ KEY TAKEAWAY: WHEN UNCERTAINTY RISES

① Stocks often weaken.

② AUD and NZD often weaken.

③ Demand for US Treasury bonds rises.

④ Treasury yields often decline.

⑤ USD, Japanese yen, Swiss franc and gold often strengthen.

CHAPTER 4

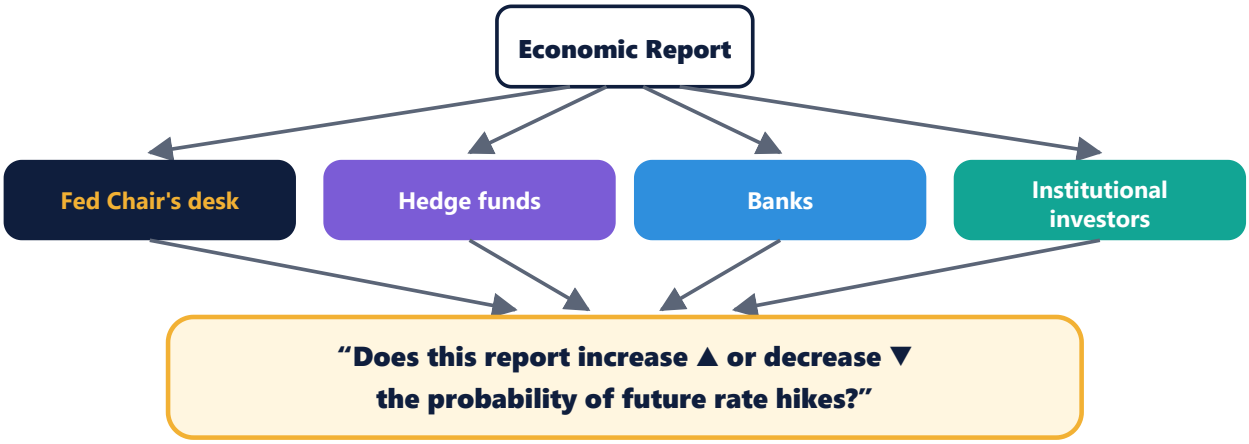
Reading the Central Bank's Mind

COMMON BEGINNER MISTAKE

Confusing a **short-term market reaction** with a **long-term trend**. One news release rarely changes the bigger macro narrative on its own.

✗ Not the goal	✓ The goal
Predict **today's news**	Predict **tomorrow's central bank**

One Report, Everyone Asks the Same Question



Note: Jerome Powell's term as Fed Chair ended in May 2026.

When you start thinking the same way, you **stop reacting to reports** and start **anticipating the central bank's future decisions**.

THINK LIKE A MACRO TRADER

A strong trend usually begins **long before** the first interest rate hike or cut.
Markets price the future, not the present.

★ KEY TAKEAWAY

By the time the Fed hikes, **the market has already moved**. Your job is to **identify the shift in probability early**.

You may have noticed something interesting: the **US dollar often starts moving long before** the Federal Reserve announces an actual rate hike.

DID YOU KNOW?

Professional traders don't ask ~~"What happened?"~~
They ask **"Why did the market react that way?"**

Retail vs Institutional Mindset

RETAIL

Report:

CPI 8.2%

"Hot."

INSTITUTIONAL

CPI · NFP · Wage growth · Retail sales · PCE inflation · PMI

→ **Probability of future rate hikes: HIGHER ▲**

CPI + NFP → Fed narrative → Higher rate expectations → Stronger USD ▲ → EUR/USD falls ▼

Institutional traders don't ask whether the latest report is **bullish or bearish**. They ask whether the **overall flow of information** is increasing or decreasing the **likelihood of future rate hikes**.

Myth vs Reality

✗ MYTH

~~The Federal Reserve controls every market move.~~

✓ REALITY

The market **constantly prices future Federal Reserve actions** before they actually happen.

This Is the Game

~~Predicting reports~~ → **Anticipating reactions**

Understanding probabilities

Staying one step ahead

- The market **continuously tries to anticipate the future**.
- The market usually **doesn't wait for the central bank's action**; it continuously tries to anticipate what policymakers may do next.

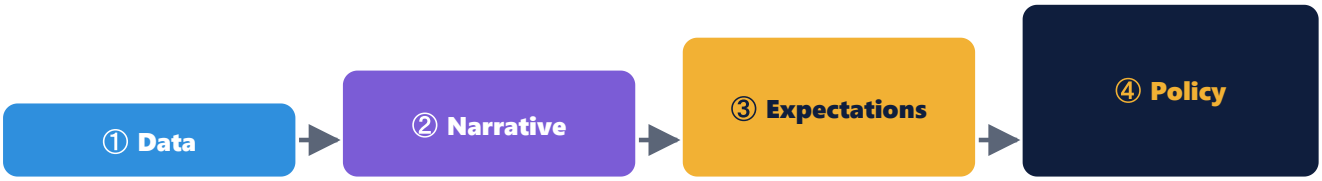


★ KEY TAKEAWAY

The majority usually notices the changes **too late**. **Be early. Read the story, not just the headlines.**

How Central Bank Policy Changes

Central banks usually **don't change their policy suddenly**. Their thinking changes **gradually**:



Data is the pieces → the **narrative** is the puzzle → so always look at the **big picture**.

Expectations drive the market.

Economic reports are **clues, not answers**. The answer appears when **all the clues start pointing in the same direction**.

Retail sales, GDP and business surveys help us understand **economic growth and demand**.

Scenario 1: The Hawkish Environment

① Inflation ▲
② The labour market remains strong ▲
③ Wages are rising
④ Consumer spending remains healthy

In this situation, the probability of future rate hikes **generally rises**.

Think: Inflation problem + Strong economy = **Higher chance of rate hikes ▲**

Scenario 2: The Cooling Inflation Environment

① Inflation is falling ▼
② The labour market remains healthy
③ Consumer spending is stable
④ Economic growth is continuing at a reasonable pace

This is often the **ideal outcome** for central banks: inflation is moving towards the target **without significant damage** to the economy. Policymakers usually **aren't in a hurry to raise rates**, but they **don't cut rates aggressively** either.

Think: Inflation improving + Economy stable = **Rates likely remain unchanged ▶**

Scenario 3: The Dovish Environment

① Inflation is falling ▼
② Job creation is slowing
③ Unemployment is rising ▲
④ Consumer spending is weakening
⑤ Economic growth is losing momentum

The probability of future rate cuts **generally rises**.

Think: Cooling inflation + Weakening economy = **Higher chance of rate cuts ▼**

Scenario 4: The Difficult Environment

① Inflation is still high ▲
② The labour market is weakening
③ Consumer spending is slowing
④ Economic growth is deteriorating

This kind of environment often creates **uncertainty and mixed market reactions**, because policymakers have to decide **which problem deserves more attention**.

Think: Inflation problem + Growth problem = **Need more evidence** ?

Scenario 5: Mission Accomplished

① Inflation is close to the central bank's target

② The labour market is balanced

③ Consumer spending is stable

④ Economic growth remains sustainable

This is the environment central banks **want to achieve**: inflation under control **without any major economic slowdown**. Policymakers are usually comfortable **keeping rates unchanged** and monitoring the incoming data.

Think: Stable inflation + Stable economy = **Hold rates steady** ✓

The 5 Scenarios at a Glance

Scenario	Inflation	Economy	Likely outcome
① **Hawkish**	Rising ▲	Strong	**Higher chance of rate hikes ▲**
② **Cooling inflation**	Improving ▼	Stable	**Rates likely unchanged ▶**
③ **Dovish**	Cooling ▼	Weakening	**Higher chance of rate cuts ▼**
④ **Difficult**	Still high ▲	Deteriorating	**Uncertainty: need more evidence**
⑤ **Mission accomplished**	Near target	Stable	**Hold rates steady ✓**

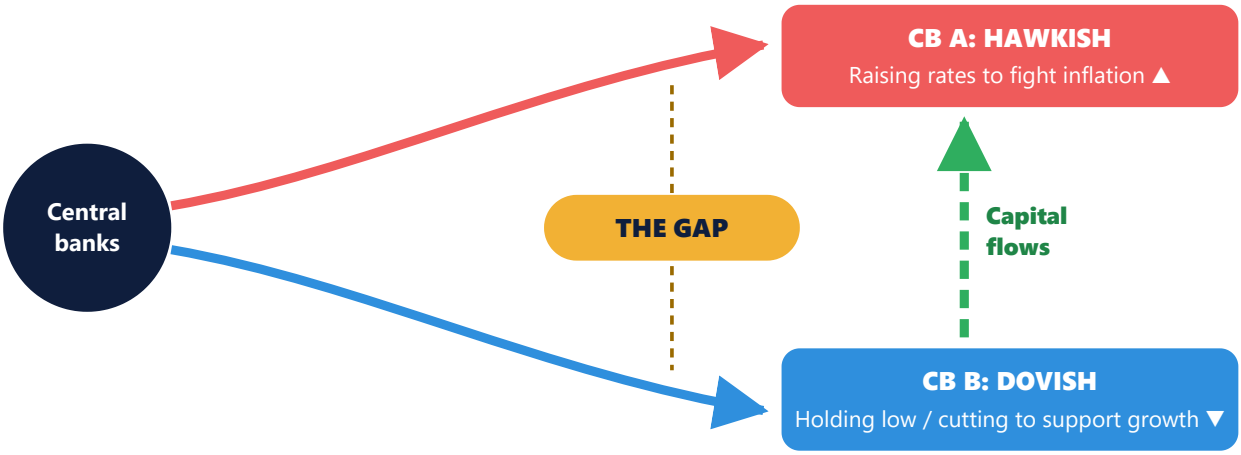
Markets don't care about reports. Markets care about **what those reports mean for future central bank decisions**.

AFTER EVERY MAJOR REPORT, ASK YOURSELF ONE SIMPLE QUESTION

"Does this **increase ▲** or **decrease ▼** the probability of future rate hikes or future rate cuts?"

Monetary Policy Divergence

One of the **strongest forces in forex**. It is a concept with the power to **create long-term trends**.



It happens when central banks **start moving in different directions**. When one central bank is **raising interest rates to fight inflation** while another is **keeping rates low or cutting them to support economic growth**, a gap starts to form between the two economies.

That's why some of the **strongest trends in forex** are often created by divergence between central banks. When one country becomes **more hawkish** and another stays **dovish**, capital usually flows towards the country offering **higher expected returns**.

The **bigger the gap** between central banks, the **greater the potential for capital flows**.

MACRO TRADING INSIGHT

Never build a trading idea using one chart alone. Always combine **technical analysis** with the broader **macroeconomic narrative**.

CHAPTER 5

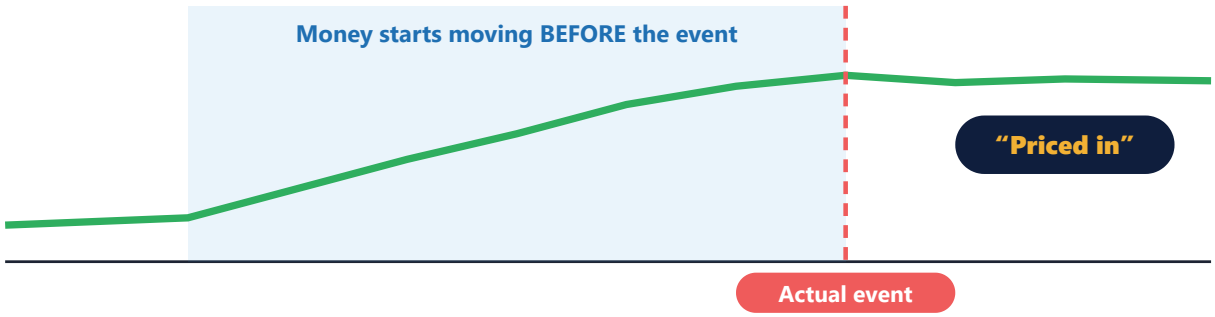
Expectations vs Headlines



THINK LIKE A MACRO TRADER

Every candle on a chart represents **a decision made by thousands of market participants**. Your job is to understand **the reason behind those decisions**, not just the pattern they create.

Priced In



Priced in: when money starts moving **before an event happens**, the event is said to be "priced in".

MACRO TRADING INSIGHT

The market **does not wait** for the Federal Reserve to cut interest rates. It starts moving **the moment traders believe the Fed will cut rates**.

Markets don't simply react to economic data. They react to **how that data changes expectations about the future**.

What Markets Struggle With Most

Good news	Bad news	UNEXPECTED news
Markets **can handle** it ✓	Markets **can handle** it ✓	What markets **struggle with most** !

COMMON BEGINNER MISTAKE

Believing **the market is wrong** because it reacted differently than expected. Most of the time, it's **your interpretation that needs to change**.



DID YOU KNOW?

Gold has been used as money for **more than 5,000 years**, making it one of the **oldest stores of value** in human history.

In markets, it's not about **what happens**. It's about **what was expected to happen**.

✗ Never the first question	✓ The first question
"Should I buy?"	"**Who** is buying, and **why**?"

Surprises move prices. The market continuously compares **reality with expectations**, and often even a **small deviation** can trigger a **significant market reaction**.

When Good News Becomes Bearish and Bad News Becomes Bullish

BEGINNERS SEE	PROFESSIONALS SEE
Is the news **good** or **bad**?	Was it **better** or **worse** **than expected**?

This difference **changes everything**.



The market **doesn't reward improvement**. The market rewards outcomes that are **better than expected**.

Myth vs Reality

✗ MYTH	✓ REALITY
~~The news moves the market.~~	**Expectations about the news** move the market.

① The market **doesn't trade today's decision**.

② The market **trades tomorrow's expectations**.

③ **Headlines** tell you what happened **today**.

④ **Forward guidance** tells you what may happen **next**.

⑤ Often, the market gives **more importance to forward guidance**.

HEADLINES	THE FED CHAIR
Tell you **what happened**.	Often tells you **what may happen next**. In financial markets, **this often matters most**.

Ask Yourself: The 4-Question Checklist

- ☐ ① What was the market **expecting**?
- ☐ ② What **actually happened**?
- ☐ ③ Was the difference **meaningful**?
- ☐ ④ **Most importantly:** what does it mean **for the future**?

Traders who constantly ask these questions are often **the first to understand market reactions**.

★★★ **Forward guidance** matters more than the **already expected** rate cut.

Expectations = The Market's Forecast



Treat expectations like **the market's forecast of the future**. Every new piece of information forces traders to **update their forecast**. Sometimes the changes are big, sometimes small, but **the process never stops**. The market continuously adjusts and recalculates, always trying to stay **one step ahead of reality**.

The market moves on **expectations**, not on **reality**.

★ **KEY TAKEAWAY**

Don't wait for the news. The market moves on **expectations, not events**.

Buy the rumour, sell the fact.

CHAPTER 6

Understanding Gold

Gold and the dollar usually move in **opposite directions**.

When **real yields fall**, gold **tends to rise**.

When **inflation expectations rise**, gold becomes **more attractive**.

Risk sentiment: during times of **fear, uncertainty and crisis**, investors seek safety in gold.

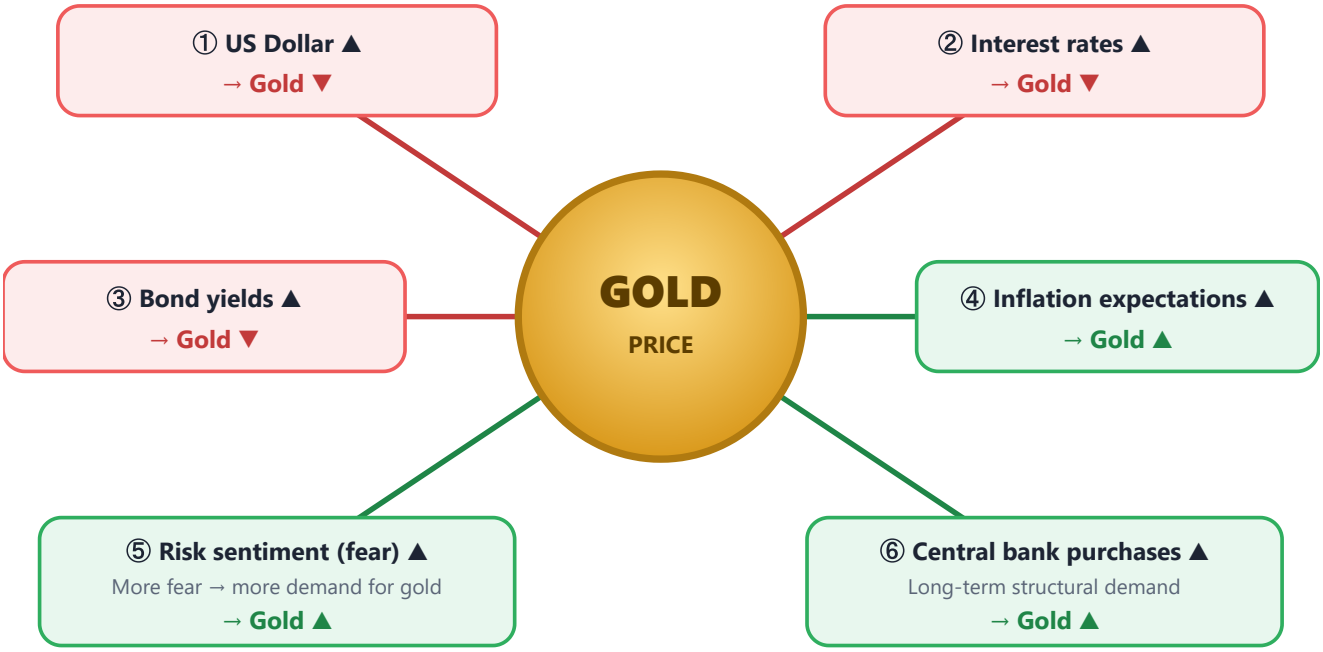
Bond yields: rising yields **increase the opportunity cost** of holding gold; falling yields **support** gold.

Central bank purchases: central banks continue to buy gold to **diversify reserves** and **protect against currency risk**.

Gold is the result of the interaction between **policy, yields, inflation, currencies and global sentiment**.

Understand the macro, **understand gold.**

Six Primary Forces That Influence the Gold Price



Force	Effect on gold
① US Dollar ▲	Gold ▼
② Interest rates ▲	Gold ▼
③ Bond yields ▲	Gold ▼
④ Inflation expectations ▲	Gold ▲
⑤ Risk sentiment (fear) ▲	Gold ▲ (more demand)
⑥ Central bank gold purchases ▲	Gold ▲ (long-term structural support)

★★ Gold **does not respond to one story**. It reflects the **interaction of every major force** in the macroeconomy.

MACRO TRADING RULE

Whenever you analyse gold, don't ask ~~"Is the news good or bad?"~~
First ask: **"Will this news strengthen or weaken the USD?"**

Stronger dollar ▲

In most cases, creates **downward pressure on gold ▼**

Weaker dollar ▼

In most cases, provides **support for gold ▲**

This simple habit helps you **interpret economic news much faster**. Instead of just reacting to headlines, you'll start **thinking like a macro trader**.

News Interpretation Guide



News event	Impact on USD	Likely impact on gold
① **Strong CPI** Higher inflation than expected	**Bullish USD ▲** Expect higher rates for longer	**Bearish gold ▼** Gold often moves down
② **Strong NFP** More jobs added than expected	**Bullish USD ▲** Strong economy supports USD	**Bearish gold ▼** Gold often moves down
③ **Strong retail sales** Consumers spending more	▲ Economic growth looks strong	▼

News Interpretation Guide (continued)

News event	Impact on USD	Likely impact on gold
④ **Strong GDP** Economy growing faster than expected	▲ Growth attracts investment	▼
⑤ **Hawkish Fed** Fed signals higher rates or fewer rate cuts	▲ Higher rates make USD more attractive	▼ Higher rates raise the opportunity cost of holding gold
⑥ **Weak CPI** Lower inflation than expected	▼ Rate cuts become more likely	▲ Gold often moves up
⑦ **Weak NFP** Fewer jobs added than expected	▼ Economy looks weaker	▲
⑧ **Weak retail sales** Consumers spending less	▼ Growth expectations fall	▲
⑨ **Dovish Fed** Fed signals rate cuts are coming	▼ Lower future rates weaken USD	▲ Lower rates reduce the opportunity cost of holding gold

Strong data / Hawkish Fed
USD ▲ → Gold ▼

Weak data / Dovish Fed
USD ▼ → Gold ▲

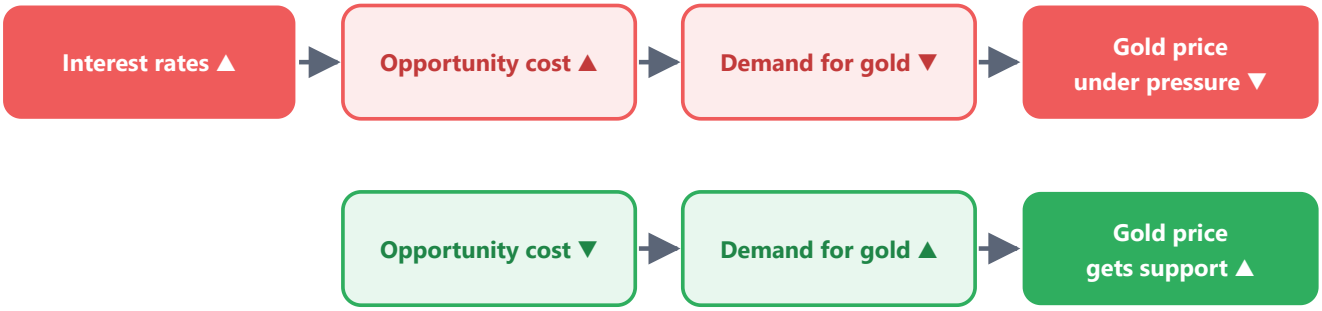
★★ REMEMBER

Gold **doesn't react to the news itself**. It reacts to **how that news changes expectations for the USD**.

Interest Rates and Gold: Opportunity Cost

Higher interest rates usually **hurt gold**, because of **opportunity cost**.

Opportunity cost means the **benefit you give up** from another investment when you choose one investment.



★★ Gold **doesn't become less valuable**; other investments simply **become more rewarding**.

That's why macro traders **watch Fed meetings closely**. Interest rate decisions don't just influence currencies and bonds; they also change **gold's attractiveness** compared with every other available investment.

THE FED	THE BOND MARKET
Tells us **where policy stands today**.	Constantly prices **where interest rates may go next**.

However, experienced traders don't look only at interest rates. In gold market analysis, professional traders pay close attention to **bond yields**, especially **real yields**.

MACRO TRADING INSIGHT

Markets reward traders who **understand probabilities**, not traders who try to **predict certainty**.

Gold **doesn't obey one master**. It follows **the strongest force**.

Successful traders don't look at one indicator. They build a **complete macro narrative**.

Gold and the Dollar: Normal Times vs Crisis

In **normal market conditions**, a stronger US dollar often puts **downward pressure on gold**, because it makes gold more expensive for international buyers. However, **extreme uncertainty and periods of crisis** create a completely different environment.

NORMAL TIMES	RISK-OFF TIMES
USD ▲ → Gold ▼	**USD ▲ + Gold ▲**
They move in opposite directions	Both can rise together

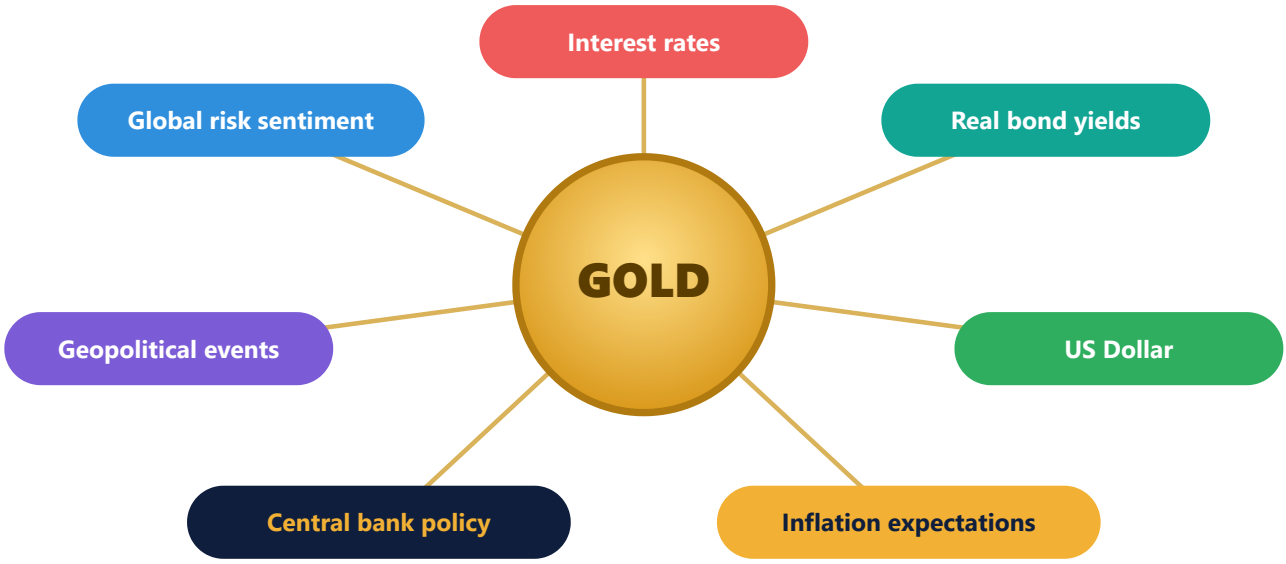
- In times of fear, investors **sell risk and protect capital**.
- During **extreme risk-off events**, both gold and the dollar **can rise together**.
- When fear dominates the market, **preserving capital becomes more important than chasing returns**.

"When the storm arrives, investors don't chase returns; **they search for safety**."

The market rarely moves because of one reason. Its **biggest moves** happen when **multiple narratives begin telling the same story**.

★ KEY TAKEAWAYS: UNDERSTANDING GOLD

Gold is **much more than just a precious metal**. It is one of the world's **most important macroeconomic assets**, reflecting the interaction of:



✗ NOT DRIVEN BY

~~Headlines~~

✓ DRIVEN BY

Narratives

The most important lesson: gold is **driven by narratives, not headlines**.

Gold **doesn't follow any one indicator**. Gold follows **the strongest macroeconomic story**.

Every candle tells a story. Don't just learn to look at the chart; **learn to read the narrative behind the price**.

CHAPTER 7

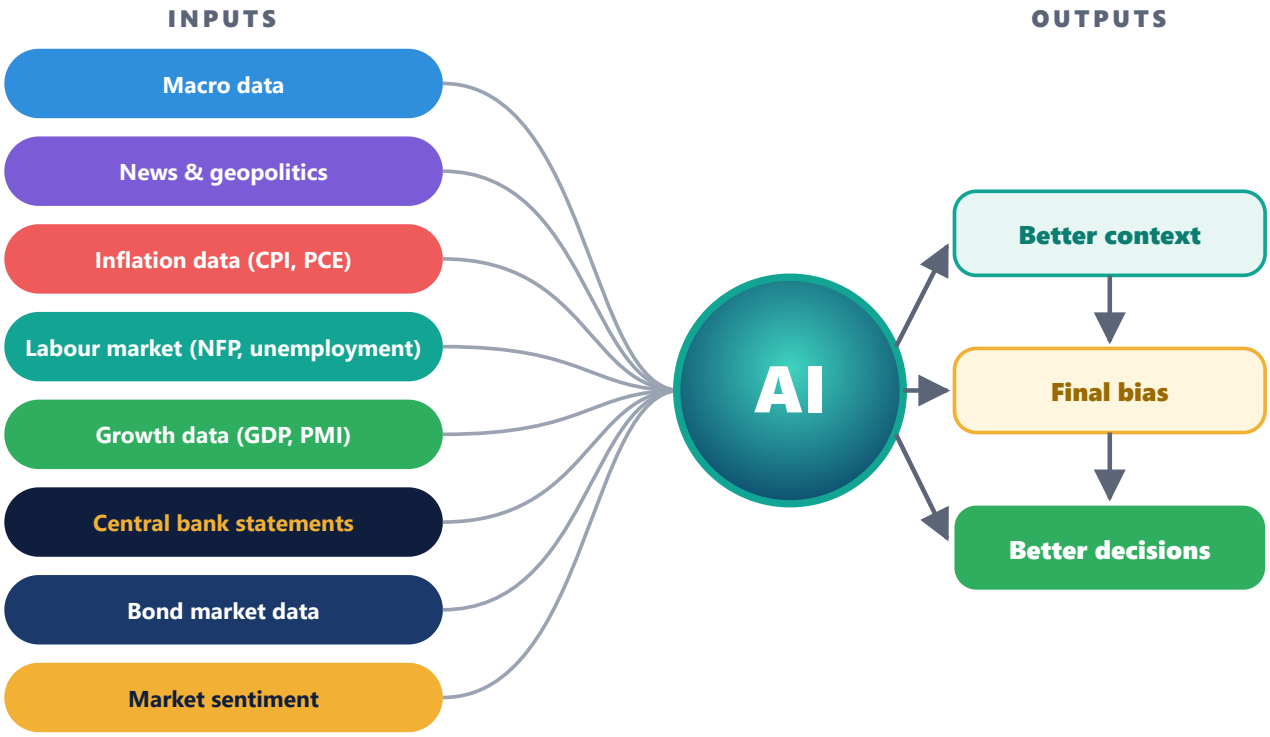
How Smart Traders Use AI



DID YOU KNOW?

Central banks **don't trade for quick profits**. They buy gold to **protect national reserves for decades**.

How AI Turns Data into Decisions



MANY DATA SOURCES → AI

→ Better context → Final bias → Better decisions

AI is powerful, but **not perfect**.

The Inflation Chain



★★ REMEMBER

The market doesn't compare inflation with ~~your opinion~~. It compares inflation with **expectations**.

COMMON BEGINNER MISTAKE

Trying to **predict news releases** instead of understanding the **broader macroeconomic trend**.

Markets don't move because of **today's news**. Markets move because today's news **changes expectations about tomorrow**.

★ CENTRAL BANK CHEAT SHEET

RATE HIKE ▲

Usually **bullish** for the currency

RATE CUT ▼

Usually **bearish** for the currency

But never decide just by looking at the headline. Always ask:

① "What was the market **expecting**?"

② A rate hike can also be **bearish**.

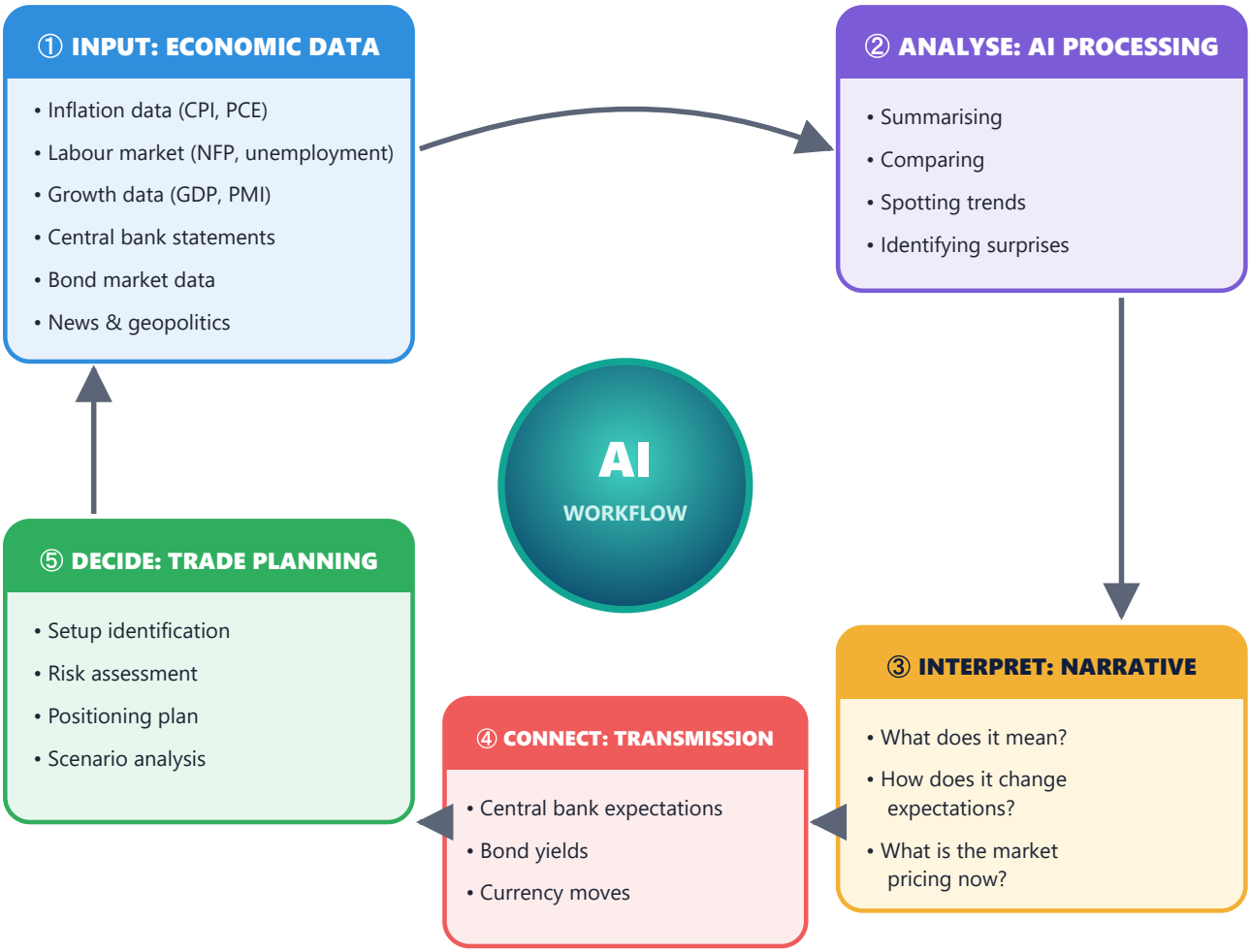
③ A rate cut can also be **bullish**.

Everything depends on expectations.

AI Workflow

FROM DATA TO DECISIONS

AI doesn't trade for you. **It helps you think clearer.**



"AI gives you **clarity**. **You** make the decision."

Example: A CPI Release Through the AI Workflow

① DATA HITS
CPI **3.4%** vs expected **3.1%**

② AI ANALYSES
Higher than expected • Sticky inflation • Hawkish surprise

③ AI INTERPRETS
Market now prices rates higher for longer • Rate cut odds drop

④ MARKET IMPACT
Yields rise • Dollar strengthens • Risk sentiment shifts

⑤ TRADE PLAN
Bias: **bullish USD** • Look for longs in USD pairs

How to Use AI Effectively

① **Ask better questions:** the quality of your answers depends on the quality of your questions.

② **Be specific:** provide context, timeframes and what you need to know.

③ **Use AI for analysis, not answers:** AI helps you see the map. You choose the path.

④ **Verify & think critically:** always cross-check information. Use AI, but trust your judgement.

⑤ **Build your macro narrative:** let AI help you connect the dots, but own your narrative.

Sample AI Prompts

> “Summarise today's CPI report and its impact on Fed rate cut expectations.”

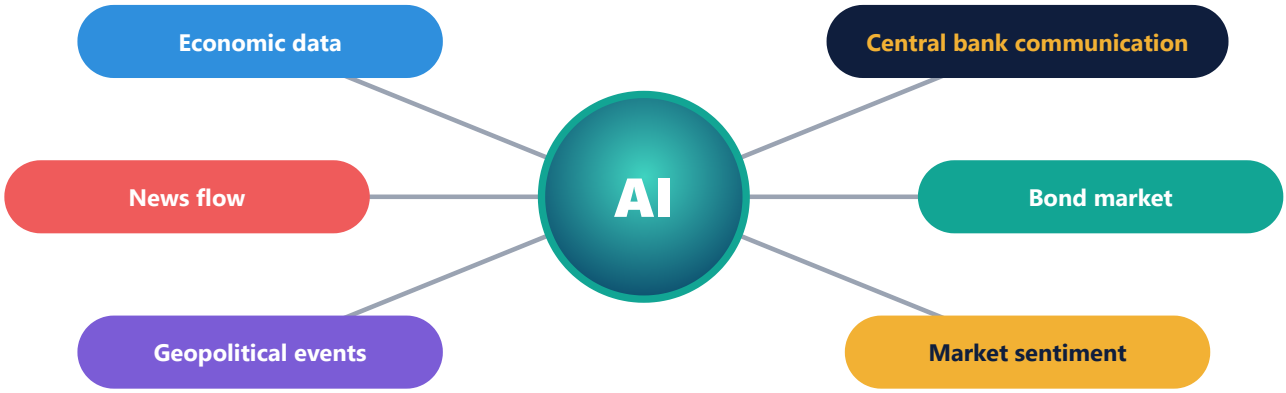
> “Compare the monetary policy stance of the Fed, ECB and BoJ.”

> “How do rising US yields impact USD/JPY?”

> “What are the key risks to the global economic outlook right now?”

> “Analyse the latest FOMC statement and identify key changes.”

AI at the Centre of Your Analysis



More data. **Better context. Better decisions.**

★ REMEMBER

✓ AI is your **co-pilot**, not your pilot.

✓ The market rewards **preparation**, not prediction.

✓ Stay **humble**, stay **curious**, stay **disciplined**.

The Macro Chain



Whenever you feel **lost in the market**, start here.

✗ Don't ask

"What is the currency doing?"

✓ Ask

"What has **changed in the economic story**?"

Inflation Cheat Sheet

INFLATION RISING ▲

→ The central bank becomes **more concerned** about inflation
→ Probability of future **rate hikes** increases
→ Bond yields often **rise**
→ Currency often **strengthens ▲**

INFLATION FALLING ▼

→ Pressure on the central bank **eases**
→ Probability of future **rate cuts** increases
→ Bond yields often **fall**
→ Currency often **weakens ▼**

ABOVE EXPECTATIONS

→ **Hawkish surprise**
→ Currency **can strengthen**

BELOW EXPECTATIONS

→ **Dovish surprise**
→ Currency **can weaken**

★ REMEMBER

Markets don't compare inflation with ~~your opinion~~. **Markets compare inflation with expectations.**

Labour Market Cheat Sheet

STRONG EMPLOYMENT ▲

→ The economy stays **resilient**

→ Consumer spending stays **healthy**

→ **Less pressure** on the central bank to cut rates

→ Usually **supportive for the currency ▲**

WEAK EMPLOYMENT ▼

→ Concerns about an **economic slowdown** increase

→ The central bank may consider **future rate cuts**

→ Usually **negative for the currency ▼**

STRONGER-THAN-EXPECTED JOBS

→ **Hawkish surprise**
→ Currency **can strengthen**

WEAKER-THAN-EXPECTED JOBS

→ **Dovish surprise**
→ Currency **can weaken**

Quick Reference: Data Surprises

Data	Surprise	Currency
Inflation above expectations	Hawkish	**Can strengthen ▲**
Inflation below expectations	Dovish	**Can weaken ▼**
Jobs stronger than expected	Hawkish	**Can strengthen ▲**
Jobs weaker than expected	Dovish	**Can weaken ▼**

★ CENTRAL BANK CHEAT SHEET

Rate hike ▲ → usually bullish for the currency

Rate cut ▼ → usually bearish for the currency

But never decide just by looking at the headline. Always ask: **"What was the market expecting?"**
A rate hike can also be **bearish**. A rate cut can also be **bullish**.

Everything depends on expectations.

Bond Market Cheat Sheet

YIELDS RISING ▲

→ The market expects **stronger economic growth** or **higher interest rates**

→ Usually **supportive for the currency ▲**

YIELDS FALLING ▼

→ The market expects **weaker economic growth** or **future rate cuts**

→ Usually **negative for the currency ▼**

US YIELDS RISING FASTER THAN FOREIGN YIELDS

→ Usually **supports the US dollar ▲**

US YIELDS FALLING FASTER THAN FOREIGN YIELDS

→ Usually **negative for the US dollar ▼**

★ REMEMBER

Currencies don't just follow ~~yields~~. **Currencies follow yield differentials more.**

Expectations Cheat Sheet

Before every major report, ask these four questions:

- [ ] ① What was the market **expecting**?
- [ ] ② What was the **actual result**?
- [ ] ③ Was the difference between the two **meaningful**?
- [ ] ④ What does it mean **for the future**?

These four questions will help you understand **most market reactions**.

Pricing-In Cheat Sheet

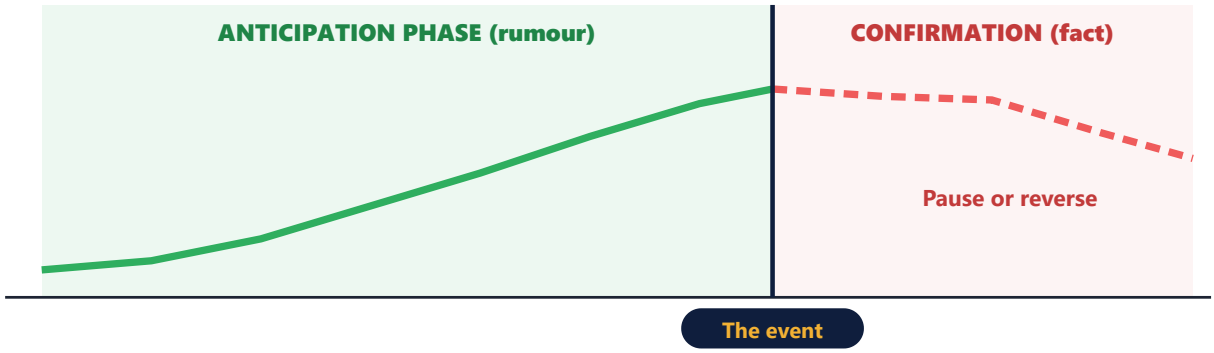
If the market starts expecting an event **several weeks before it happens**:



This process is called **pricing in**.

By the time the actual event finally arrives, **a large part of the move has often already happened**.

Buy the Rumour, Sell the Fact



THE RUMOUR

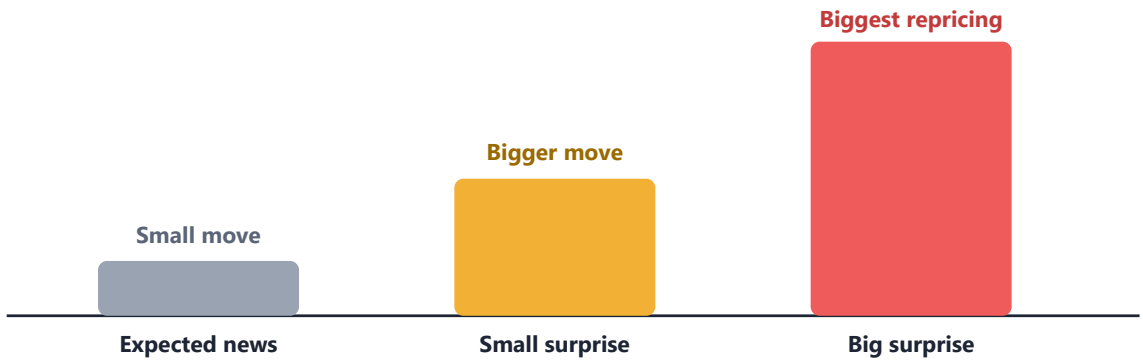
The market often **moves during the anticipation phase**.
The rumour creates the move.

THE FACT

After confirmation, the market often **pauses or reverses**.
The fact confirms the move.

This doesn't happen every time, but it happens **often enough** that every trader should understand the concept.

The Market Hates Surprises



EXPECTED NEWS

Usually creates **limited movement**.

UNEXPECTED NEWS

Can create **very big movement**.

The **bigger the surprise**, the bigger the possibility of **repricing**.

Good news

Markets **can handle** it ✓

Bad news

Markets **can handle** it ✓

SURPRISES

Markets **struggle** to handle them

Forward Guidance Cheat Sheet

THE HEADLINE

Tells you what happened **today**.

FORWARD GUIDANCE

Tells you what may happen **tomorrow**.

That's why professional traders pay **a lot of attention to central bank press conferences**.

Sometimes **a single sentence** from a central banker can move the market **more than the actual policy decision**.

Ask Better Questions

✗ BAD QUESTION	✓ BETTER QUESTION
"Should I buy EUR/USD?"	"How does this data change **future central bank expectations**?"

Use AI To:

Summarise reports | Compare economic data | Analyse central bank statements | Understand bond market reactions | Build macroeconomic narratives

✗ DON'T	✓ DO
Use AI to **replace** critical thinking.	Use AI to **improve** critical thinking.

★★★ THE MOST IMPORTANT LESSON IN THIS BOOK

Most traders focus on
what happened.

Macro traders focus on
what will happen next.

The market is like a **giant machine** that keeps trying to **price the future before it arrives**.

The better you understand **expectations, central banks, bond markets and economic data**, the better you will understand **the language of financial markets**.

In the end, markets are not pricing today's reality.
Markets are pricing tomorrow's possibilities.

Ready-to-Use AI Prompts

Prompt 1: The Global Macro Dashboard

Big picture

One of the **most powerful prompts** for understanding the bigger picture.

COPY THIS PROMPT

```
"Act as a senior macroeconomic analyst at a global hedge fund. Gather the latest Core CPI (inflation) data and key labour market data for all G10 economies, covering at least the last three months. Analyze the trend rather than focusing only on the latest reading. For each country, determine whether inflation is accelerating, decelerating, or remaining stable. Compare inflation with the central bank's target and explain whether inflation is moving toward or away from that target. Assess whether the labour market is strengthening, weakening, or remaining resilient. Explain how these developments may influence future central bank decisions. Present the results in a clear table showing the inflation trend, labour market trend, central bank bias, and overall macro outlook. Do not simply report the numbers. Put every data point into context and explain whether the data increases or decreases the probability of future rate hikes, rate cuts, or a prolonged pause. Finally, rank the G10 economies from most hawkish to most dovish based on current inflation and labour market trends."
```

This prompt helps you quickly identify **which economies are strengthening**, **which are weakening**, and **which central banks may become the most hawkish or the most accommodative**.

IMPORTANT NOTE

Use this prompt only when your AI tool **can access current data**, or when you **upload the latest official data** yourself. Always verify important economic figures with **official sources**: central bank websites, national statistics agencies or trusted financial data platforms. AI's job is to help organise and interpret data. **Don't make AI your only source of truth.**

Prompt 2: The Central Bank Decoder

Statements & speeches

Whenever a central bank releases a statement or a governor gives a speech, **paste the transcript** and ask:

```
"Analyze this central bank statement like a professional macro trader. Identify hawkish and dovish language, compare it with the previous statement, explain what changed, and assess how it may affect future interest rate expectations."
```

Why it works: markets often react more to **changes in language** than to the actual decision.

Prompt 3: The Expectations Analyzer

After major reports

After any **major economic report**, ask:

```
"Compare the actual result with market expectations. Explain whether the report was meaningfully stronger or weaker than expected, how traders may interpret the surprise, and what it could mean for future central bank policy."
```

Why it works: it forces AI to think from the perspective of **expectations instead of headlines**.

Prompt 4: The Bond Market Perspective

Data → yields → FX

Many traders **completely ignore the bond market**. Don't make this mistake. Ask:

```
"How would bond traders likely interpret this report? Explain the potential impact on bond yields, interest rate expectations, and currency markets."
```

Why it works: it connects **economic data to yields**, and **yields to currencies**.

Prompt 5: The Bull Case vs Bear Case

Beat confirmation bias

The best way to avoid **confirmation bias** is to challenge your own view. Ask:

```
"Provide both the bullish and bearish interpretation of this data release. Explain the strongest arguments on both sides and identify which view the market is most likely to focus on."
```

Why it works: it forces you to consider **alternative outcomes** and stops you becoming **emotionally attached** to one market direction.

The 5 Prompts at a Glance

Prompt	When to use it
① **Global Macro Dashboard**	To see the bigger picture across the G10
② **Central Bank Decoder**	After a central bank statement or speech
③ **Expectations Analyzer**	After any major economic report
④ **Bond Market Perspective**	To connect data → yields → currencies
⑤ **Bull Case vs Bear Case**	To challenge your own view

The Common Theme of All Five Prompts

✗ None asks AI **where to buy**

✗ None asks **where to sell**

✗ None asks **for signals**

Instead, they help you understand **inflation, labour markets, central banks, bond yields, expectations and market psychology**.

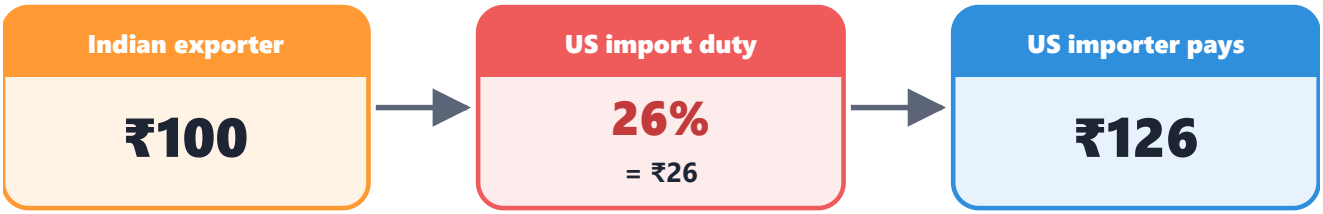
This is where AI creates the most value: **not by replacing your analysis**, but by **helping you analyse better**.

ADDITIONAL NOTES

Tariff Wars & Market Sentiment

Tariff War

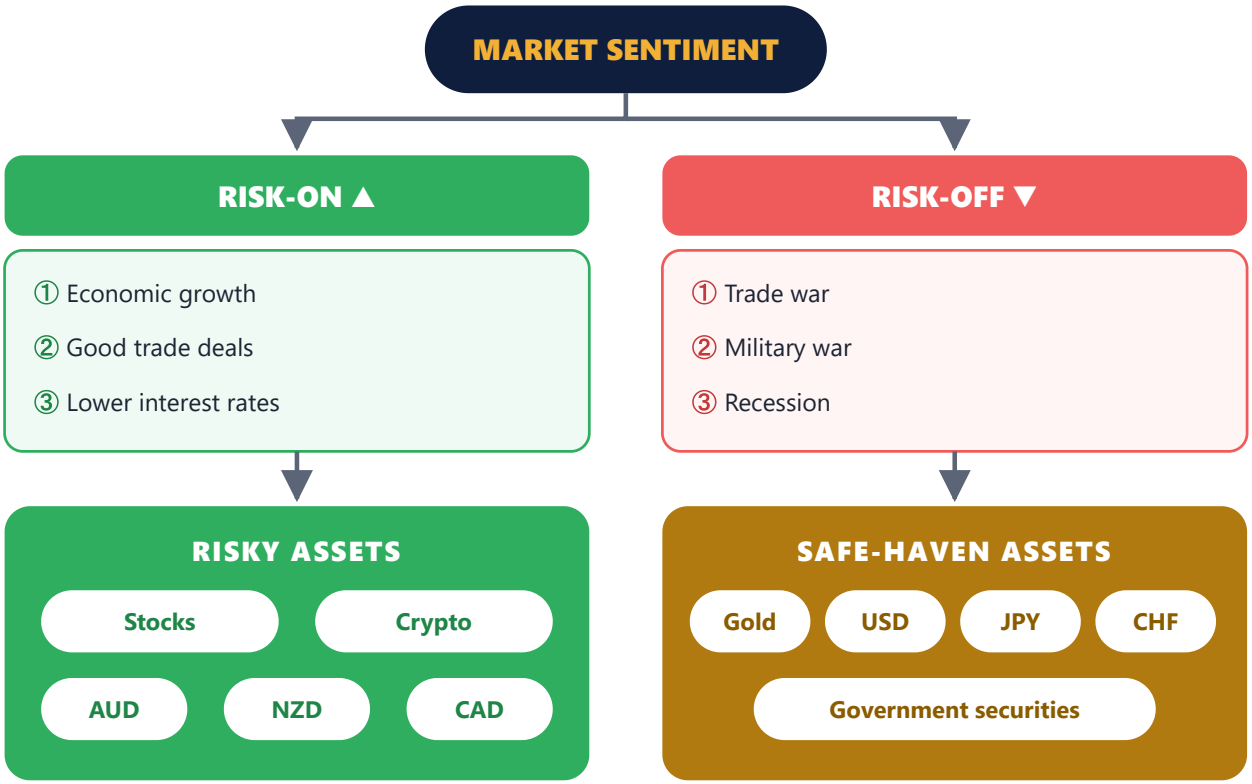
Tariff = a **tax on imports** (or exports).



₹100 product + ₹26 duty = ₹126 cost in the US

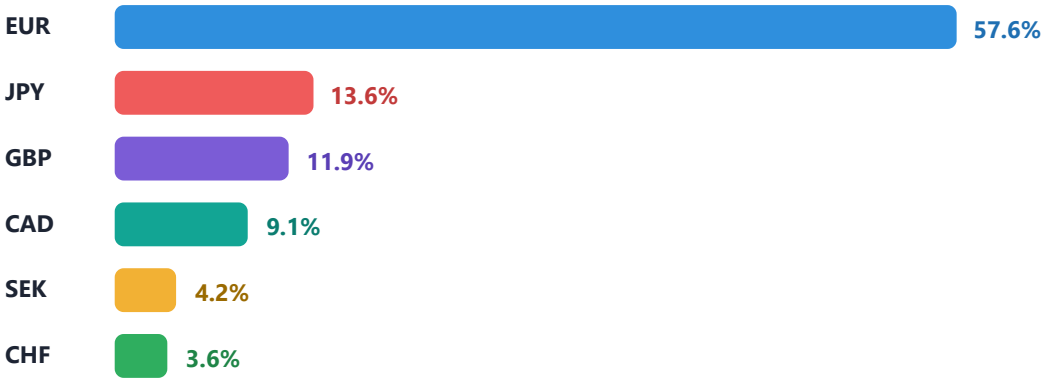
Note: 26% was the US reciprocal tariff announced for India in April 2025. It was later raised to 50% in August 2025. Always check the current rate.

Market Sentiment



DXY: The US Dollar Index

DXY is a **basket index of 6 currencies**, measuring the US dollar against them.



DXY Correlation with Forex Pairs

DXY ▲ → these FALL ▼

XAU/USD
EUR/USD
GBP/USD
AUD/USD
NZD/USD

USD is the **second** (quote) currency

DXY ▲ → these RISE ▲

USD/JPY
USD/CAD
USD/CHF

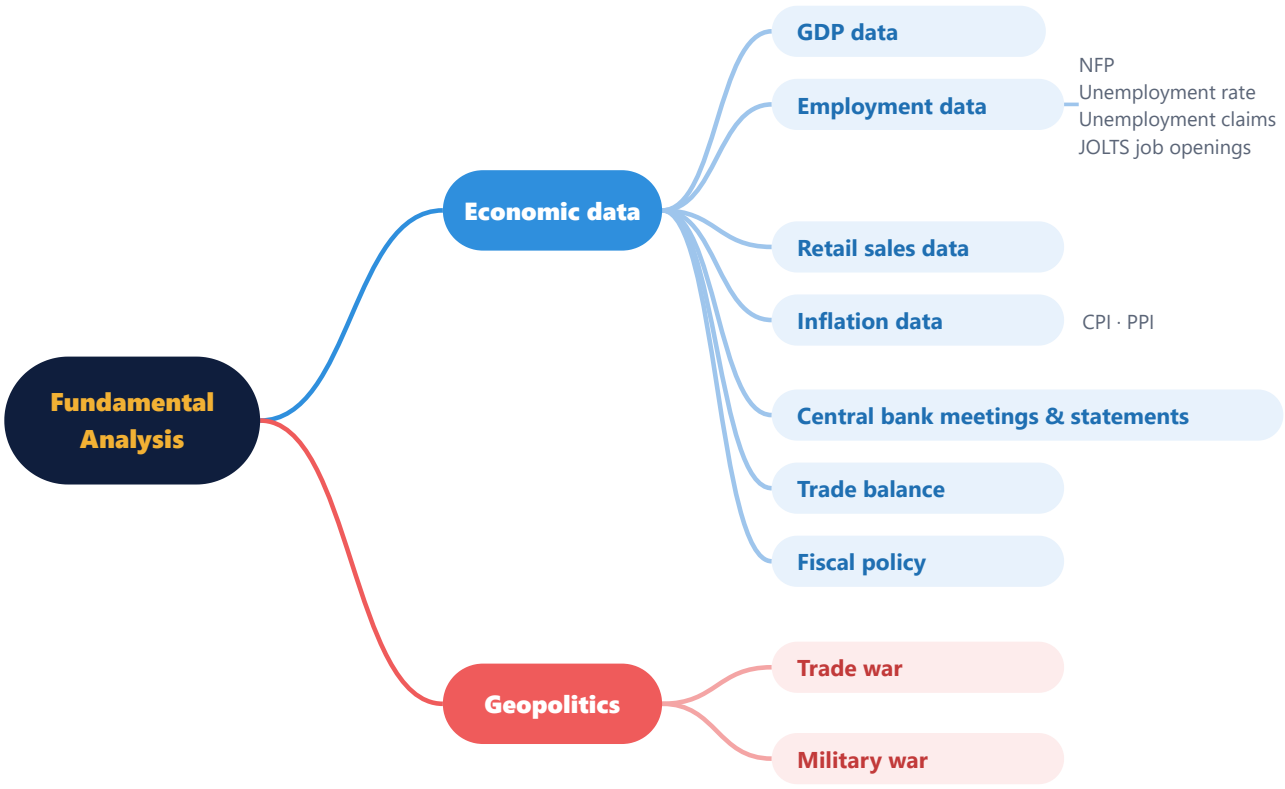
USD is the **first** (base) currency

Inflation, Rates and Currency

Inflation ▲ → **Interest rate ▲** → **Currency value ▲**

A currency is like the **"stock" of a country**.

Fundamental Analysis: Mind Map



Inflation Basics

Inflation = an increase in the **prices of goods and services** over a period of time.

Causes of inflation

① Demand-based
(demand-pull)
② Supply-based
(cost-push)

How it's measured

PPI
Producer Price Index
CPI
Consumer Price Index

Inflation target

Developed: 2%
Emerging: usually higher, around 3–4%
(e.g. India 4% ±2%)

Money Supply or Liquidity

HIGH LIQUIDITY

→ **Low** interest rates ▼
→ **Faster growth** ▲

LOW LIQUIDITY

→ **Higher** interest rates ▲
→ **Slower growth** ▼

Monetary Policy Tools

① Interest rate

The main policy rate set by the central bank.

② Reserve requirement

Example: total deposits = **100**, reserve requirement = **8%**
→ the bank keeps **8** as reserves and can lend **92**.

③ Open market operations

The central bank **buys or sells bonds** to add or remove liquidity.

What Is the Interest Rate or Policy Rate?

The **policy rate** is the interest rate at which a **central bank lends money to commercial banks**.



The bank earns the **gap**: it pays 5% on deposits (or borrows at the 4% policy rate) and lends to customers at 7%.

Policy Rate Names by Currency

Currency	Policy rate name	Rate in your notes
USD	Federal Funds Rate	3.75%
GBP	Official Bank Rate	3.75%
EUR	Main Refinancing Rate	2.15%
NZD	Official Cash Rate (OCR)	2.25%
AUD	Cash Rate	3.60%
JPY	BoJ Policy Rate	0.75%
CHF	SNB Policy Rate	0.00%
CAD	Overnight Rate	2.25%

Rates change at every meeting. These figures are a snapshot from your latest notes and may already have changed. Always check the latest rate on the central bank's website.

US Jobs Data

BUREAU OF LABOR STATISTICS (BLS)

① **NFP number**: the official monthly job number in the non-farm sectors of the US economy

② **Revisions** to earlier months

③ **Average hourly earnings**

④ **Unemployment rate**

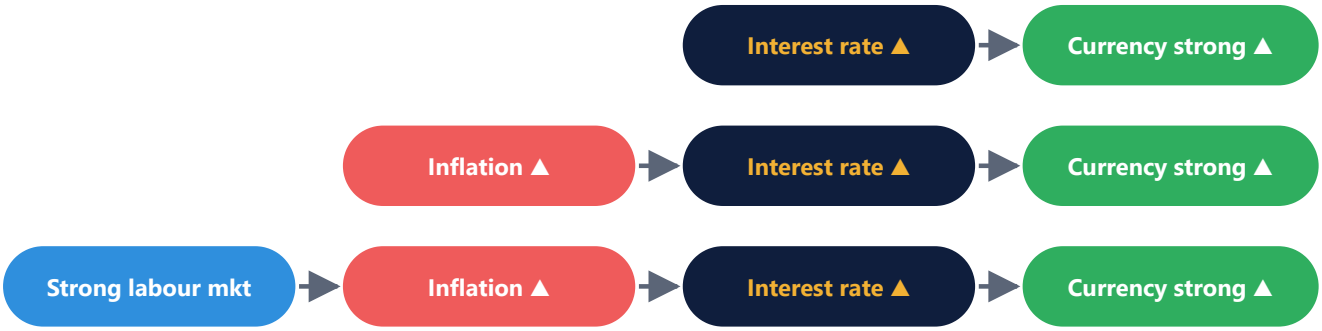
OTHER JOB DATA

Weekly unemployment claims: new people filing for unemployment benefits

ADP non-farm employment change: private-sector monthly job number, released **2 days before NFP**

JOLTS job openings: total monthly job openings

Impact on the Forex Market



Trade Execution Plan: USD Bullish Checklist

USD BULLISH ▲ when these line up:

- [ ] ① NFP positive
- [ ] ② Wages positive
- [ ] ③ Revisions positive
- [ ] ④ Unemployment rate down
- [ ] ⑤ Yields up (10-year bond yield)
- [ ] ⑥ Fed hike expectations up (CME FedWatch tool)

Trade Execution Plan: USD Bearish & USD Mixed

USD BEARISH ▼

- ☐ ① NFP negative
- ☐ ② Wages negative
- ☐ ③ Revisions negative
- ☐ ④ Unemployment rate up
- ☐ ⑤ Fed hike expectations down
- ☐ ⑥ Yields down

USD MIXED ◆

- ① NFP positive ▲
- ② Wages negative ▼ (compare with previous)
- ③ Revisions negative ▼
- ④ Unemployment rate down ▲
- ⑤ Yields flat ▶
- ⑥ Fed hike expectations up ▲

MIXED DATA RULE

With **mixed data**, targets are often **not reached**. Keep the **execution time short** (smaller holding time).

STRONGLY BULLISH or BEARISH data

All signals point the same way → taking a **quick trade** is fine.

MIXED data

Signals conflict → **smaller targets**, **shorter time** in the trade.

Tools to Watch During the Release

DXY → EUR/USD

EUR is **57.6%** of DXY, so EUR/USD is **highly influenced** by DXY.

US 10Y yield

TradingView: **TVC:TNX** (CBOE 10-Year Treasury Note Yield)
Watch on **5-min** and **15-min** charts.

CME FedWatch

Shows the market's **probability of Fed hikes or cuts** at each meeting.

Statement > Rate Decision



Hawkish vs Dovish Language

Learn to read the **exact words** in a central bank statement. The language tells you which way **interest rates** are likely to go.

HAWKISH LANGUAGE

Focus: **inflation control** · Rates ▲ · **USD ▲**

Key phrases to watch:

"Inflation **remains elevated**"

"**Further policy tightening** may be appropriate"

"**Restrictive stance** will be maintained"

"Risks to inflation **remain upside**"

"Labour market **remains strong**"

"Progress on inflation is **insufficient**"

DOVISH LANGUAGE

Focus: **growth & employment** · Rates ▼ · **USD ▼**

Key phrases to watch:

"Inflation **has eased**"

"**Progress towards 2%** inflation"

"Policy is **sufficiently restrictive**"

"Economic activity **has moderated**"

Example Statements

HAWKISH EXAMPLE → USD ▲

"The Committee judges that inflation **remains elevated** and **further policy tightening may be appropriate** to return inflation to 2%."

DOVISH EXAMPLE → USD ▼

"Inflation **has eased** over the past year and the Committee believes policy is **sufficiently restrictive**."

Where to Read Statements & News

Federal Reserve Board

Official website: **federalreserve.gov** (statements, minutes, projections)

TradingView

Open the **DXY** chart and check its **News** section for the latest headlines.

Prompt: Fed Statement Quick Check

Hawkish or dovish?

Paste the Fed's monetary policy statement and ask:

COPY THIS PROMPT

```
"This is the monetary policy statement of the Fed. Analyse this statement and tell me if it's hawkish or dovish by highlighting the main points, and give me the bias on USD direction. Give me a short and to-the-point answer."
```

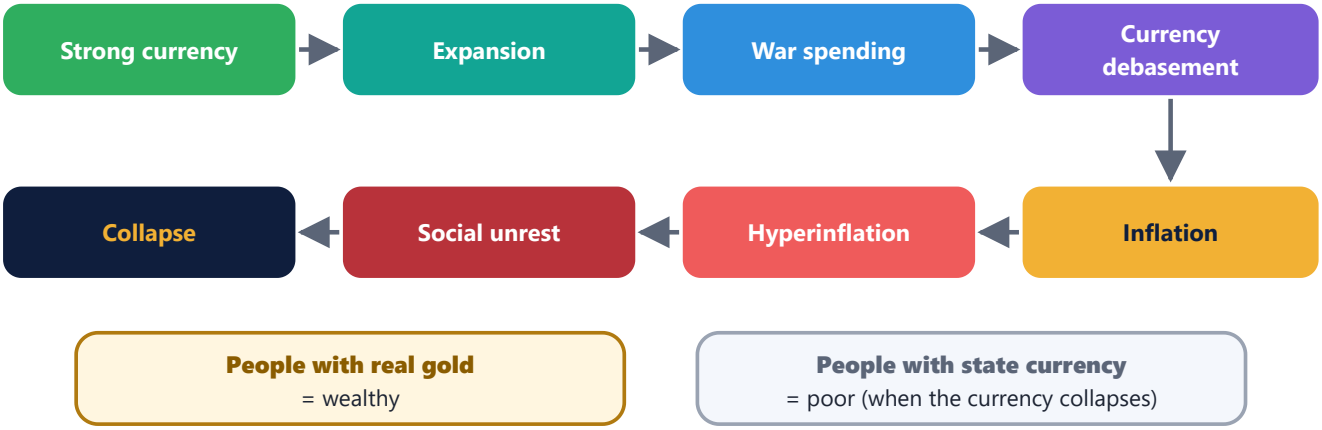
ADDITIONAL NOTES

Gold & Silver: Fundamental Analysis

Metals = **Wealth** = **Power**

Limited supply of gold = **controlled inflation**.

The Life Cycle of Empires



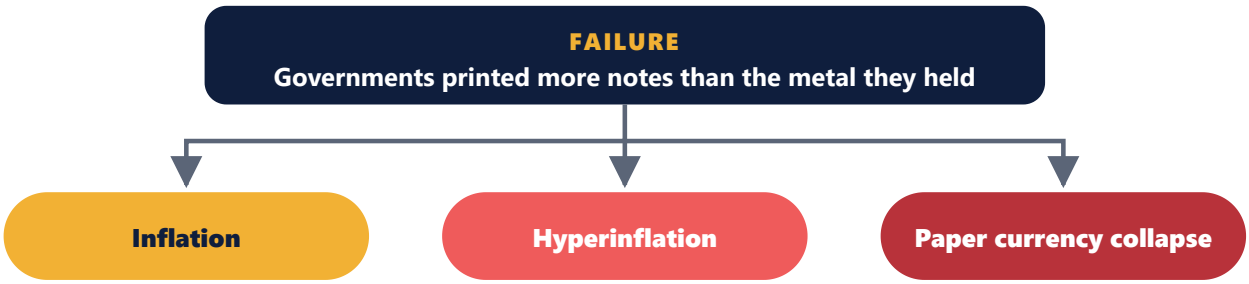
People with real gold
= wealthy

People with state currency
= poor (when the currency collapses)

Paper Money and the Gold Standard

> Under the gold standard, a **paper currency note** = a **promise to pay metal later**.

How It Failed



Advantages of the Gold Standard

① Stable **exchange rates**

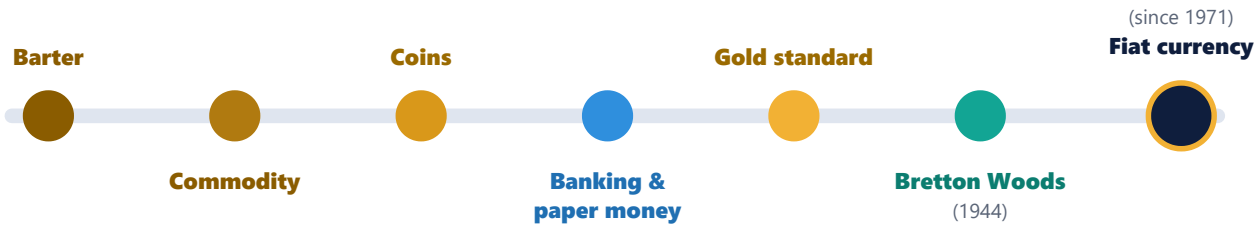
② **Low** inflation

③ Long-term **price stability**

④ **Predictable** trade

Today: no major currency is backed by gold. The US ended dollar-to-gold convertibility in **1971**, and today's currencies are **fiat money**: backed by trust in the government and central bank, not by metal.

The Currency Timeline



How the Dollar Avoided Collapse: The Petrodollar



Oil is priced in dollars, so the world **needs dollars**. Saudi Arabia then **recycles those dollars back into the US** (largely US Treasuries). This constant demand helped keep the dollar strong after it left gold.

3 Pillars of the Monetary System

① Commercial banks

The money multiplier
Fractional reserve banking: 100 deposit → 10 reserve, 90 loan
→ **total supply = 190**

② Government

The money demand creator
Issues bonds to fund spending on **infrastructure** and **public welfare**.

③ Central banks

The base money creator
Buy bonds from banks and **create new money**.

Problems in the Fiat System

① Pain = debt

New money is created as **debt**, so debt keeps growing.

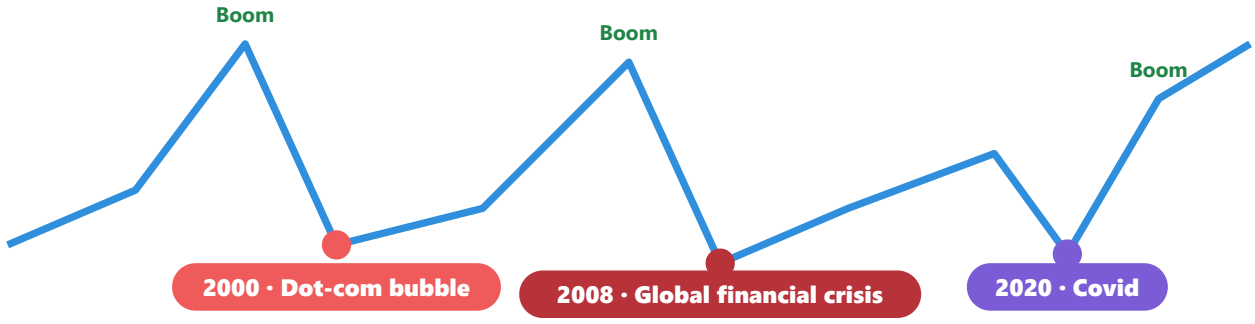
② Interest trap

The **debt spiral**: more debt is needed to pay interest on old debt.

③ Boom & bust cycle

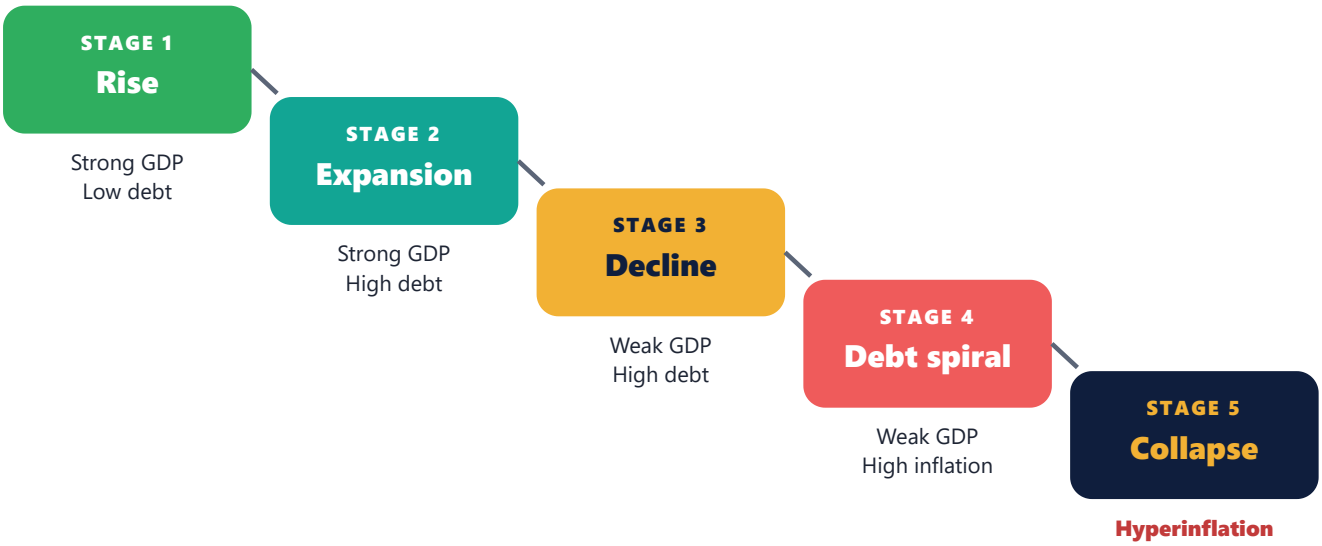
Easy money creates bubbles, and bubbles burst.

Boom & Bust: Recent Crises



Note: the 100 → 190 example shows the first round of lending. The process repeats, so in theory a 10% reserve can multiply money far more. In practice, the US Federal Reserve cut the reserve requirement to **0% in March 2020**, and bank lending is now limited mainly by capital rules and loan demand.

The Currency Collapse Cycle



Real-World Examples

Zimbabwe | Argentina | Venezuela | Turkey (almost)

HARD ASSETS

People holding **gold, silver and land** became **wealthy**.

STATE CURRENCY

People holding **state currency** became **poor**.

Where Is the US Dollar?

View in these notes: the US dollar is at Stage 4

US debt spiral | De-dollarization | Petrodollar

Balance check: this is a debated opinion, not a fact. US debt is very high (above **120% of GDP**) and de-dollarization is a real trend, but US inflation is not "high" in the Stage 4 sense, and the dollar is still in about **89% of forex trades** and the largest share of global reserves (around **57–58%**).

① US Debt Spiral

US national debt	Debt-to-GDP	GDP growth	Debt growth
$40T+	**~125%**	**~2%**	**+$1T**
passed $40T in Aug 2026			roughly every quarter

Interest payments

About **$1.2 trillion** a year, **higher than the US defence budget**.

Result

Public trust in US bonds is decreasing.

② De-dollarization

① Russia–Ukraine war sanctions

② The West froze about **$300 billion** of Russia's reserves

③ BRICS countries buying **record gold** and selling US Treasury bonds

④ BRICS currency idea (**"The Unit"**), still a proposal, not launched

③ Petrodollar Under Pressure

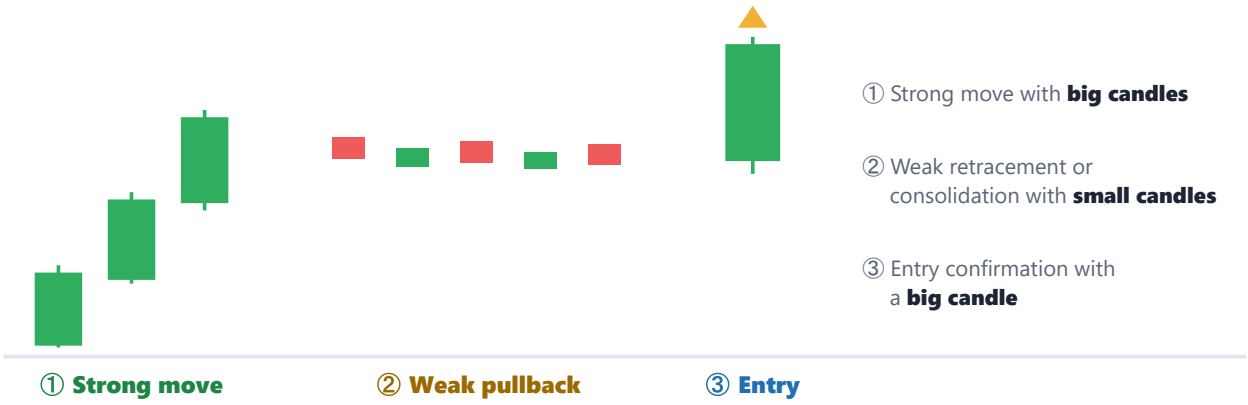
① **UAE joined BRICS** (2024); **Saudi Arabia** was invited but has not formally confirmed membership

② **Iran and Russia** are already doing non-dollar deals

③ **US–Iran conflict**

Find the Control (FTC)

Check who is **in control** of the price before entering a trade:



News Article Platforms

Forex Factory

Economic calendar, forecasts, actual vs expected, and news.

TradingView

Charts plus a **News** section for each symbol (e.g. DXY).

Note on the numbers: US debt figures change daily. Your notes said 39T; US debt passed **$40 trillion in August 2026**. Check a live source such as the US Treasury's "Debt to the Penny" for the latest figure.

ADDITIONAL NOTES

The Macro Trader's Study Plan

① Understand basic economics

CPI · Monetary policy · GDP · Employment data · Bonds & bond yields

② Learn about major countries

USD · EUR · GBP · JPY · CHF · CAD · NZD · AUD

+ Russia · China · India

Study each one's **economy** and **geopolitics**.

Why Is the Japanese Yen Falling?

① The carry trade

Driven by the **interest rate differential**:

Japan	US
0.75%	**3.75%**

Traders **borrow cheap yen** and invest in **higher-yielding USD** → yen is sold.

② US–Iran war impact

Crude oil and fertiliser prices jumped.

Japan **imports** most of its food and energy, so higher prices mean it must sell more yen to pay for them.

Why Japan Intervened in the Forex Market

Food & energy imports → **Crude & fertiliser prices ▲** → **Weak yen + inflation ▲** → **Japan intervenes in forex**

US Bond Yields and the Forex Market

A **bond** is basically a **loan given to the government** by the public at a **fixed rate of interest**.

Face value	Coupon rate	Maturity
$100 for one bond	**5%** the fixed interest rate	**2y · 10y · 20y · 30y** when the loan is repaid

How Is the Coupon Rate Decided?

- Decided via an **auction** (bidding).
- The interest rate is set **based on the auction**.
- The final coupon rate depends on **upcoming inflation** and **demand for the bond**.

What Is Bond Yield?

Bond yield = the **actual return per year** on a bond = **(interest ÷ bond price) × 100**

Example 1: price falls

Bond price = **$95** · Interest = **$5**

Yield = 5 ÷ 95 × 100 = **5.26% ▲**

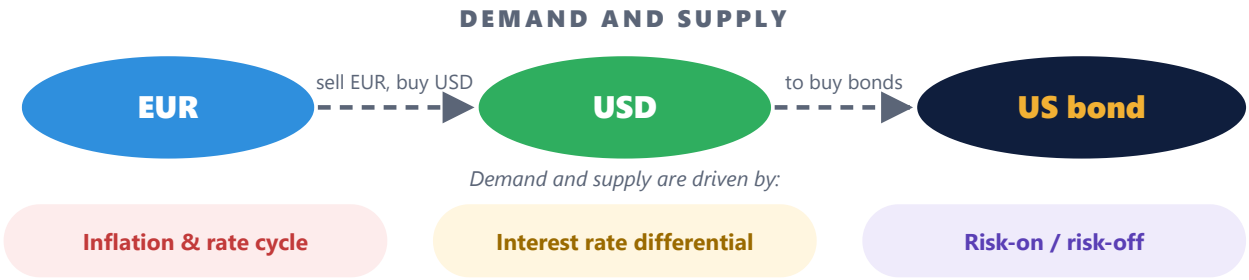
Example 2: price rises

Bond price = **$105** · Interest = **$5**

Yield = 5 ÷ 105 × 100 = **4.76% ▼**

Bond prices and yields are **inversely correlated**.

How Bond Yields Impact the Forex Market



Bond Yields in Daily Trading

Risk-on / risk-off sentiment: there is **higher demand** for bonds in risk-off sentiment, such as during the **US–Iran war**.

2-year bond yield

→ **Short-term** interest rate outlook

10-year bond yield

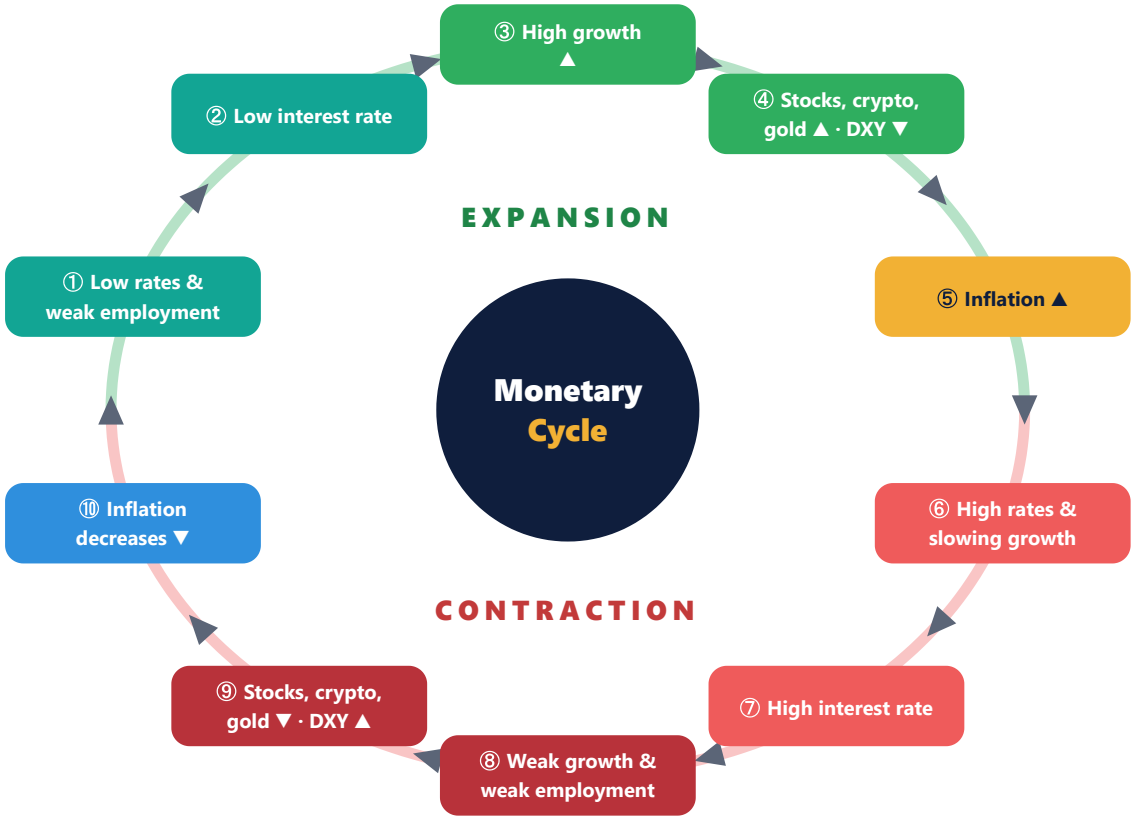
→ **Long-term** economic outlook

2 Ways to Use Yields in Daily Trading

① For **DXY trend confirmation**

② To find **divergence with DXY**

The Monetary Cycle



EXPANSION (top half)

Low rates → high growth → risk assets rise, DXY falls → inflation builds.

CONTRACTION (bottom half)

High rates → growth and jobs weaken → risk assets fall, DXY rises → inflation cools.

Interest rate differential: Japan **0.75%** vs US **3.75%** → traders are doing the **carry trade** (borrow JPY, buy USD).

ADDITIONAL NOTES

Understanding Silver

INDUSTRIAL METAL

Has the **highest thermal and electrical conductivity** of all metals.

PRECIOUS METAL

People buy it for **investment**. It is a **real hard asset**.

Availability: Gold vs Silver

	Gold	Silver
Total historical mining	~2.2 lakh tonnes (~220,000 t)	~17.4 lakh tonnes (~1.74 million t)
Underground reserves	~64,000 tonnes	~5.3 lakh tonnes (USGS estimate ~6.4 lakh t)

Silver Available Today

Total available silver ≈ 3 lakh tonnes



investment grade

Silver Demand and Supply

DEMAND

- Industrial
- Investment
- Jewellery
- Silverware

SUPPLY

- Mining
- Recycling

Physical vs Paper Silver

COMEX (US): paper-driven

Trades **futures contracts**. Many more paper claims exist than real metal.

Example: actual silver = 100 tonnes, paper contracts = 1,000 tonnes

SGE (Shanghai): physical-driven

The **Shanghai Gold Exchange** trades mostly **physical metal**.

Why Silver Demand Will Continue to Rise

INDUSTRIAL DEMAND

- Solar panels
- AI data centres
- Defence sector
- Electric vehicles
- US & China silver policy

INVESTMENT DEMAND

Macroeconomics: economic data (CPI, interest rates, NFP), US bond yields, gold/silver ratio (~60:1 in notes)
Dollar depreciation: de-dollarization → lower demand for US bonds; US debt above **$40 trillion**

The gold/silver ratio moves every day (it means 1 oz of gold buys ~60 oz of silver). Your notes said US debt was 39.3T; it passed **$40T in August 2026**.

Why Do DXY and Gold Have a Negative Correlation?

US bond yields	Gold
Inflation hedge + **extra return** (interest)	Inflation hedge + **price hikes** (no interest)

Both compete as **safe-haven assets**. Which one wins depends on the **real yield**.

Normal Yield vs Real Yield

Real yield = nominal yield − inflation (CPI)

Positive real yield	Negative real yield
4% − 3% = **+1%**	4% − 5% = **−1%**

REAL YIELDS RISING ▲

Money flows to **bonds** → USD ▲ → gold ▼

REAL YIELDS FALLING ▼

Money flows to **gold** → gold ▲

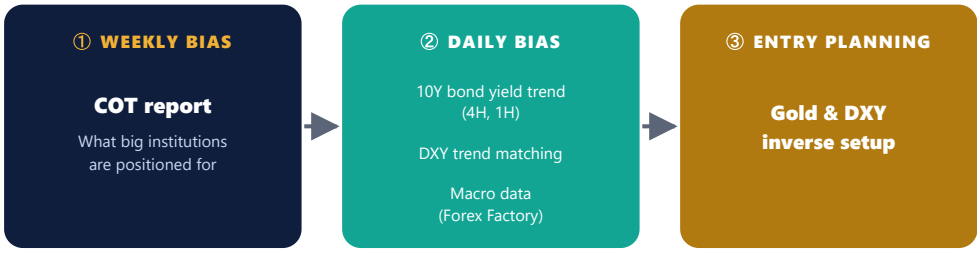


What Drives Fed Interest Rate Expectations?

NFP data | CPI & PPI data | GDP data | PMI & retail sales | FOMC meetings & statements

Fed expectations ▲ → yields ▲ → DXY ▲ → **gold ▼**

3-Step Confirmation Process



The COT Report (Commitments of Traders)

Who publishes it

The **Commodity Futures Trading Commission (CFTC)**, on its website. Also viewable on **tradingster.com**.

When

Released **every Friday**, showing positions as of **Tuesday** of the same week.

Shows the **futures contract positions of big institutions** in **currencies, commodities and the stock market**.

Types of COT Report

① **Supplemental**: agricultural commodities

② **Disaggregated**: physical commodities (agri, energy, metals)

③ **TFF** (Traders in Financial Futures): financial instruments only

④ **COT Legacy**: all in one ★★★★

COT Report Players

Commercial

→ **Hedgers**

Non-commercial ★★★★

→ **Smart money** (large speculators)

Non-reportables

→ **Retail** (small traders)

Commercial and non-commercial traders usually take **opposite positions**.

How to Read the COT Report

Net positions

→ **Market direction**
tradingster.com

COT index

→ **Trend reversal** indication
insider-week.com

Commercial data

Shown on a **0–100%** scale → extremes signal a **reversal**

Technical vs Fundamental Analysis

TECHNICAL ANALYSIS

When to enter

Entry | Stop loss | Exit

FUNDAMENTAL ANALYSIS

Why to trade

① Reason behind the market move
② Why the dollar is getting stronger
③ Why gold is falling

Example 1: US Treasury Buyback Announcement

The US Treasury **buys back old 10y, 20y and 30y bonds** to **stabilise bond yields**.

Previous limit	Current limit
$2B per operation	**$4B** per operation

US long-term bond yield ▼ → **DXY ▼** → **Gold ▲**

Example 2: BoJ and US Treasury Forex Intervention

Yen depreciates vs US dollar → **Japan inflation ▲ weak yen + energy & food prices** → **Political pressure: BoJ sells USD / US bonds (1 trillion+)** → **US Treasury joins the intervention**

Why Is Monetary Policy Needed?

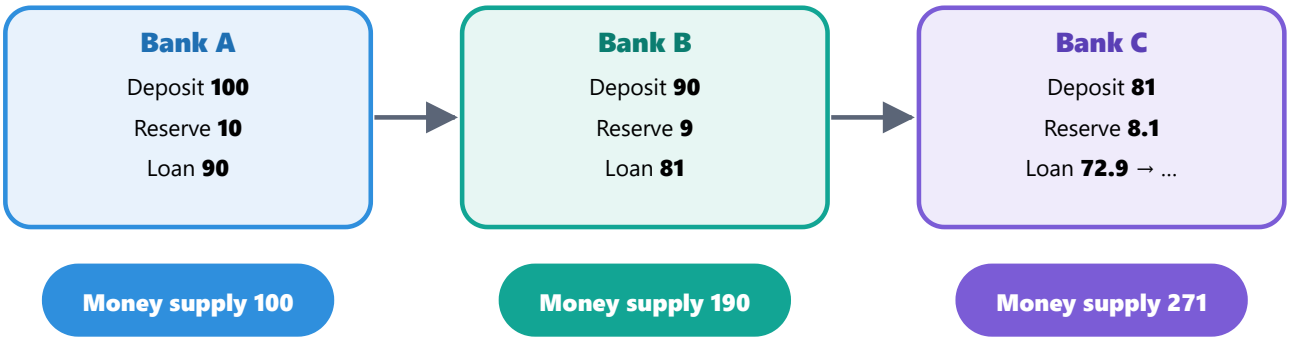
Money = a medium of exchange for goods and services. **Inflation** = an increase in the prices of goods and services over a period of time.

Resources	Money supply	Price of 1 chocolate
100 chocolates	₹100	**₹1**
50 chocolates (fewer goods)	₹100	**₹2**
100 chocolates	₹100 → ₹200 → **₹250** (more money)	**₹2.50**

Monetary policy is needed to **control the money supply** to manage **growth, inflation and employment**.

How inflation is measured: PPI PCE CPI

How Commercial Banks Multiply Money



The 3 Pillars of Money Supply

Central bank

The base money creator. Gives base money to commercial banks and sets the interest rate (see the policy rate table).

Commercial banks

The money multiplier. Lend out deposits again and again.

Government

The money demand creator. Borrows money by issuing bonds.

Who Buys Government Bonds?

Commercial banks | Institutions | Public | Central bank (only during a crisis)

In some countries banks are **required** to hold some government bonds (for example, India's SLR rule). US banks have no such fixed requirement.

How Monetary Policy Works

The Fed has to manage

Inflation | Growth | Employment

Using monetary tools

Interest rate · Open market operations (OMO) · QE · QT · Reserve requirement

The 5 Monetary Policy Tools

① **Interest rate:** high rates → borrowing becomes expensive → spending ▼. Low rates → borrowing becomes cheap → spending ▲.

② **Open market operations (OMO):** the central bank buys or sells government bonds. Buying puts money **into** the economy; selling takes money **out**.

③ **Quantitative easing (QE):** the central bank buys a **large amount** of bonds/assets to increase money in the economy and lower borrowing costs.

④ **Quantitative tightening (QT):** the opposite of QE. The central bank reduces its bond/asset holdings, taking money out of the economy.

⑤ **Reserve requirement:** banks must keep some money as reserves. Lower requirement → banks can lend **more**; higher → lend **less**.

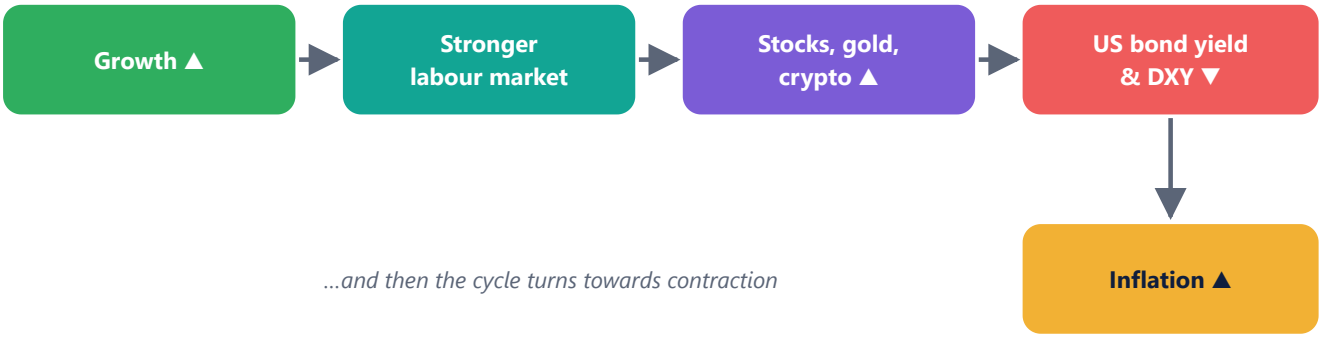
QE → money **IN** · **Lower rates** → more borrowing

QT → money **OUT** · **Higher rates** → less borrowing

Case Study 1: Slow Economy

THE SITUATION	THE FED'S ACTION
① Slow growth ② Weak labour market ③ Inflation near 2%	① Lower interest rates ② Buy bonds via OMO ③ QE in case of recession or crisis

Impact on the Forex Market



Useful website: tradingeconomics.com for economic data, calendars and central bank rates.

ADDITIONAL NOTES

How to Trade Gold During FOMC

Statement > Rate Decision

8 meetings a year | 12 voting members | FOMC statement | Economic projections | Press conference

Market Expectations & the "Priced In" Concept

① CME FedWatch tool

Shows the market's **FOMC interest rate probability**.

② Forex Factory

Forecasts, previous and actual figures for each release.

Current Economic Data (from your notes)

CPI	Core CPI	PCE	Core PCE
3.4%	2.4%	3.7%	3.3%

PPI	GDP growth	Unemployment	Avg hourly earnings
3.4%	1.5%	4.4%	3.1% YoY

Fed rate target

Around **4%**

Key event

Fed Chair Kevin Warsh's speech at **Jackson Hole** (28 Aug 2026): inflation is concerning and rate hikes may be needed.

The Twist

US debt above $40 trillion | Bond yields at 20-year highs | Trump pressure on the Fed

Meeting Outcome & Trade Planning

Case	FOMC outcome	Gold
①	**Hawkish hike** Raises rates and signals more to come	**Bearish ▼▼**
②	**Dovish hike** Raises rates but signals it may be the last	**Bullish ▲**
③	**Hawkish hold** No change, but hints at future hikes	**Mildly bearish ▼**
④	**Dovish hold** No change, but hints at future cuts	**Mildly bullish ▲**

Before the meeting, check what is **already priced in** on CME FedWatch. Gold reacts to the **surprise**, not to the decision itself.

Note: the economic data figures on the previous page come from your notes and change with every release. Always check the latest numbers on Forex Factory or tradingeconomics.com before the meeting.

Think Like a Macro Trader

THE CHART



Tells you **WHERE** price is moving

THE NARRATIVE



Tells you **WHY**

You need both.

"

The markets reward **discipline**.
History rewards those who **understand it**.

FINAL WORD

The best traders never stop learning.